Goldman Sachs Research

Equity Research

3 August 2026 | 9:53PM HKT

CHINA GAMES & ENTERTAINMENT

Key debates into 2Q26 result season - Gaming resilience, shifting narratives on AI investments vs. benefits, and valuation bottoming

We address the key debates and focus areas heading into the 2Q26 results season for the China Games/Entertainment sector, which is set to start in mid-Aug. With an overall 30% share price correction YTD but a 10%+ rebound in July, and valuation multiples still trading close to their 5-year low range across the majority of our coverage, we believe the sector is now demonstrating some level of **defensive characteristics** (as stock plays with little exposure to elevated AI capex). More importantly, as many companies are actively deploying AI applications to boost user experience and save operating costs, we see a potential **market narrative shift** from this quarter onwards (from being disrupted by AI to AI beneficiaries).

Lincoln Kong, CFA
+852-2978-6603 | lincoln.kong@gs.com
Goldman Sachs (Asia) L.L.C.

Ronald Keung, CFA
+852-2978-0856 |
ronald.keung@gs.com
Goldman Sachs (Asia) L.L.C.

Luqing Zhou
+852-3465-4207 | luqing.zhou@gs.com
Goldman Sachs (Asia) L.L.C.

Damian Xie
+852-2978-1398 | damian.xie@gs.com
Goldman Sachs (Asia) L.L.C.

What to look out for in the upcoming results season:

1. Online gaming resilience: So far, the industry has shown resilient 12% YoY growth in 1H26, in contrast to earlier market fears of a 2Q grossing slowdown for top players. Greater AI integration is now showing effects, especially helping evergreen titles to extend their dominance, in our view. Among key players, despite muted new game launches and a relatively light 2H pipeline, we believe NTES will still deliver improving sales and margin expansion, supported by easier comps and cost savings, while Tencent's evergreen titles (including Delta Force) and rapid growth of mini-games should continue to contribute to growth. We expect a slower quarter for Bili's gaming business and XD (due to a slowdown at TapTap).

2. AI investments vs. cost benefits: During the 4Q25/1Q26 results season, the market was concerned that elevated AI investments would weigh on group profitability and that AI models could disrupt existing businesses across verticals. As 1H26 has passed, we now see a gradual market narrative shift, following continued token cost declines and proliferation of open source LLMs. We foresee limited room for further AI spending increase across the majority of our coverage universe (with the exception of the Kling model), but more opportunities for these AI application layer companies to benefit from efficiency gains and fresh user experience. AI-generated content has seen rapid user penetration increase and gained a larger share of industry output (e.g., iQIYI's AI-generated long-form dramas, TME/Soda Music's AI music, Hongguo's AI drama/animations, and AI-native games).

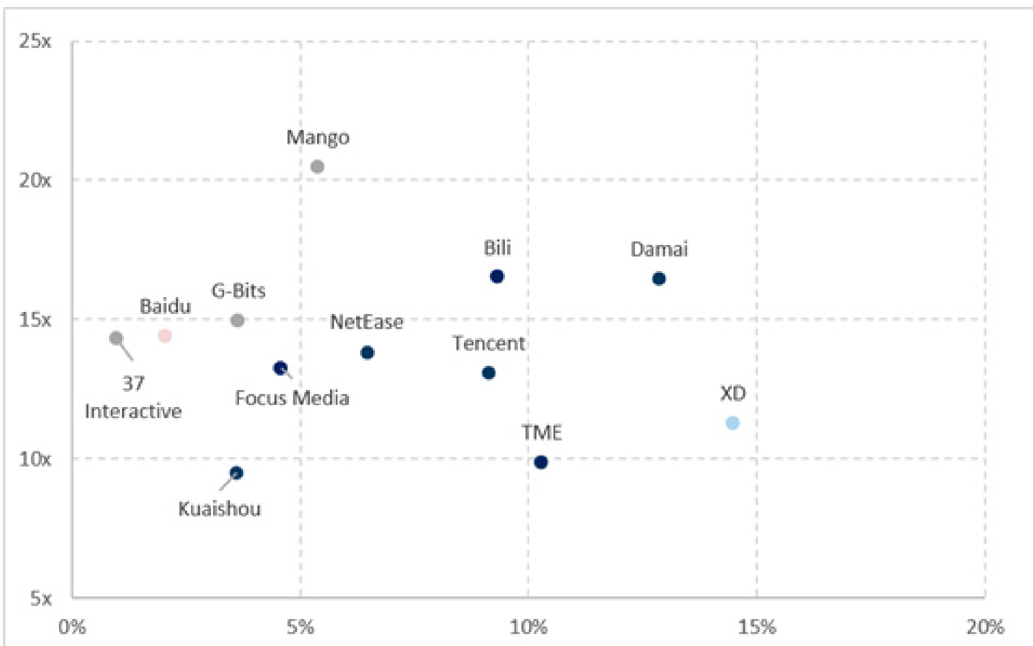
Among key players, we believe the debates will center on the economics for leveraging AI and monetization potential, Kuaishou's Kling investment and model positioning vs. peers Seedance 2.5 and Minimax H3, as well as TME's competitive landscape vs. Soda.

3. Shareholder returns: As valuations have de-rated, we believe shareholder returns are becoming a more important factor in supporting share prices. Several names, including Focus Media, 37 Interactive, G-bits, and NTES, are now likely to offer a combined yield of 5%+ (buybacks plus dividends), while we believe TME, XD, and JD Health have significant room to step up buybacks, in our view.

4. M&A and spin-offs: A few deals have been announced/completed over the past three months: 1) the TME/Ximalaya consolidation should provide a one-time boost to subscription and advertising revenue, alongside future cost synergies; 2) Kuaishou's strategy and capital allocation following the announced Kling spin-off will be key areas to watch.

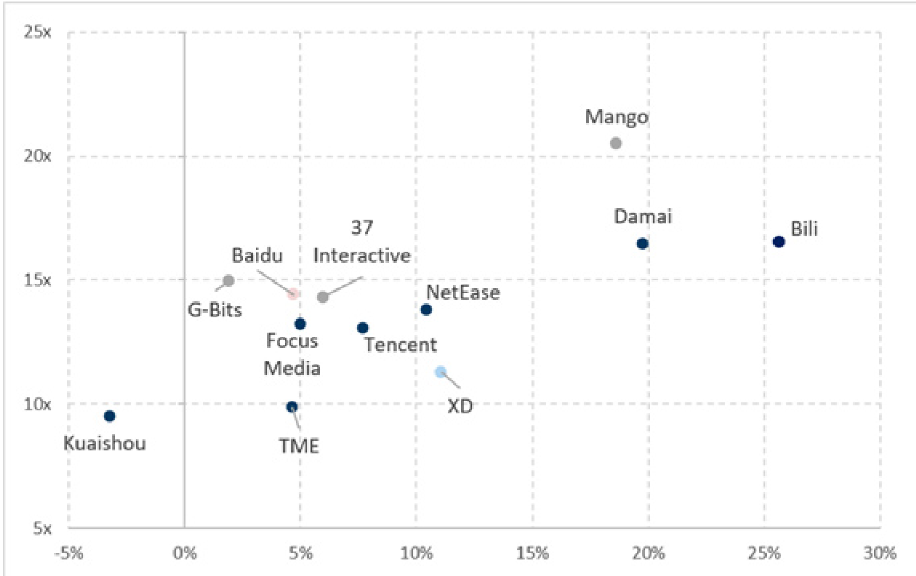
Among the stocks, we highlight Buy-rated **NTES (on CL) and Tencent** on games resilience, **Bili** on one of the fastest ads/profit growth among coverage, and **TME** on favorable risk-reward. We revise our estimates/TP for NTES, Tencent, TME, XD, G-bits and Perfect World accordingly.

Exhibit 1: Avg. 2026-27E sales yoy growth vs. P/E multiple among our key Gaming & Entertainment coverage



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 2: Avg. 2026-27E EPS yoy growth vs. P/E multiple among our key Gaming & Entertainment coverage



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 3: Summary of current shareholder return policy/plan and utilization of current plan across our major Gaming & Entertainment coverage

Company	Current Shareholder Return Policy / Plan in Place	Utilization of Current Plan
Tencent	2026 AGM authorized repurchases of up to **10%** of total number of issued shares. Final cash dividend increased to **HK$5.30**/share for 2025.	As of Jul 9th 2026, Tencent had repurchased c. 36mn shares under the current mandate, representing c. 4% of the authorized amount or c. 0.4% of total number of issued shares.
NetEase	Up to **US$5bn** repurchase authorization extended to Jan-2029. Maintains **quarterly dividend** payments (1Q26 dividend: US$0.72 per ADS).	US$2.1bn repurchased cumulatively under the program as of end-1Q26, representing c. **42%** utilization of the authorization.
Kuaishou	Up to **HK$16bn** in value over the next 36 months from Jun 13, 2024 and until the conclusion of the annual general meeting to be held in 2027. Announced FY25 final dividend of **HK$3bn** (HK$0.69/share).	A total of **HK$8.35bn** under the HK$16bn share repurchase program has been repurchased as of Jul 6, 2026, representing c. **52%** utilization of the authorization.
Baidu	Announced a new up to **US$5bn** buyback program through Dec-2028. Adopted its first-ever dividend policy and expects to declare the first payment of **dividend** in 2026.	Returned **US$172mn** to shareholders in 1Q26 under the current share repurchase program.
Tencent Music	Authorized a Share Repurchase Program up to **US$1bn** during a 24-month period commencing from Mar 2025. A final cash dividend of **US$0.24** per ADS for 2025.	A total of **US$64.5mn** has been repurchased under the current program as of end-1Q25. Management has committed to utilizing the current US$1bn authorization.
Bilibili	Announced up to **US$300mn** repurchase program in Jun-2026, valid for 24 months.	A total of **US$31.3mn** repurchased as of Jun-2026 under the current program, equivalent to c.10.4% utilization.
iQIYI	Announced up to **US$100mn** buyback program in Mar 2026, valid for 18 months.	A total of **US$8mn** repurchased as of May 18, 2026 under the current program, equivalent to 8% utilization.
XD Inc.	Up to **HK$400mn** Automatic Share Buyback Program launched in Jun-2026 until Nov 11, 2026.	Being executed automatically.
Focus Media	2024-26 Shareholder Return Plan commits to distributing at least **80%** of adjusted net profit to share holders as cash dividends annually.	Cumulative dividends announced exceeded **Rmb4.9bn** for 2025, equivalent to c. 180% of 2025 adjusted net profit.
G-bits	2025-27 Shareholder Return Plan commits to distributing at least **50%** of net profit to shareholders as cash dividends annually.	Cumulative dividends announced exceeded **Rmb1.4bn** for 2025, equivalent to c. 78% of 2025 net profit.
37 Interactive Entertainment	2024-26 Shareholder Return Plan commits that the aggregate cash dividends distributed by the Company over the most recent 3 years shall be no less than **30%** of the average annual distributable profits realized during the same period.	Cumulative dividends announced exceeded **Rmb2.2bn** for 2025, equivalent to c. 78% of 2025 net profit.
Perfect World	Committed to annual dividends.	Cumulative dividends announced exceeded **Rmb0.6bn** for 2025, equivalent to c. 88% of 2025 net profit.

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

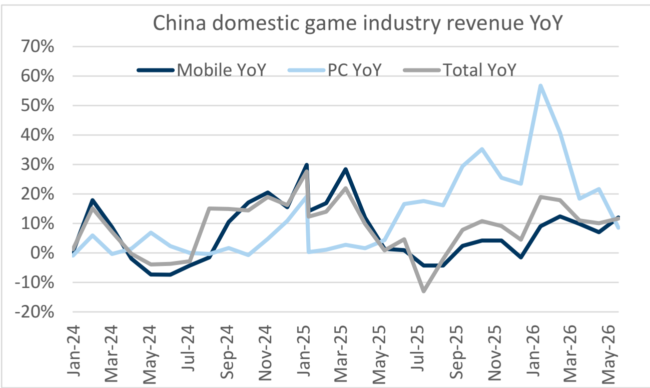
Games: Resilient growth in 1H26; valuation close to 5yr trough

1. Game industry growth intact, with a still-supportive policy stance: YTD, domestic industry revenue is still growing at 12% YoY, with the PC platform outperforming at 28% YoY, versus 8% YoY for mobile. Overseas growth for Chinese players is even stronger at 30% YoY, suggesting continued global expansion and market share gains. We believe growth is being driven by continued new content supply and revamps/upgrades of legacy titles. The cross-platform trend has now been adopted by various new titles, such as Where Winds Meet, Sea of Remnants, and Neverness to Everness, further boosting the strength of the PC platform. For 2026, we now believe the domestic market will maintain c.10% YoY growth and the overseas market will continue to grow at 25%+ YoY.

Some third-party data providers, such as Sensor Tower, suggest a weak trend for 2Q26. However, we believe these datasets likely underestimate the grossing trend, as they only capture the iOS mobile channel and show large discrepancies for the highest-grossing titles. QuestMobile user data suggest a still-resilient trend among major titles from Tencent and NetEase.

Exhibit 4: China domestic game industry monthly revenue yoy % growth trend

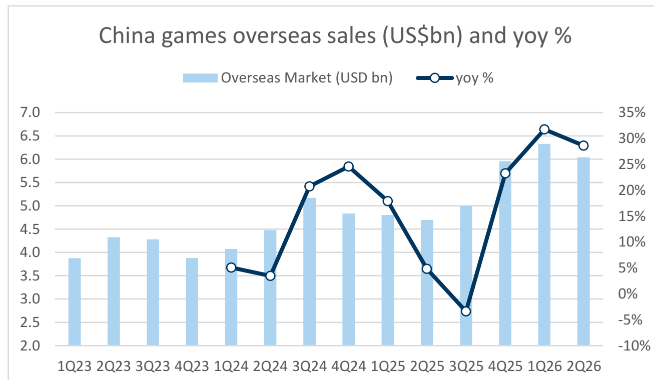
PC games sales have outgrown mobile games sales over the past year



Source: CNG, Data compiled by Goldman Sachs Global Investment Research

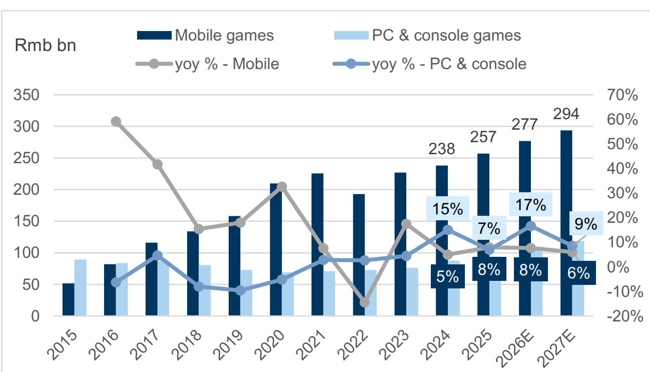
Exhibit 5: China games overseas quarterly sales (US$bn) and yoy %

China games overseas sales have continued to step up since 4Q25 with multiple blockbuster titles' global releases



Source: CNG, Data compiled by Goldman Sachs Global Investment Research

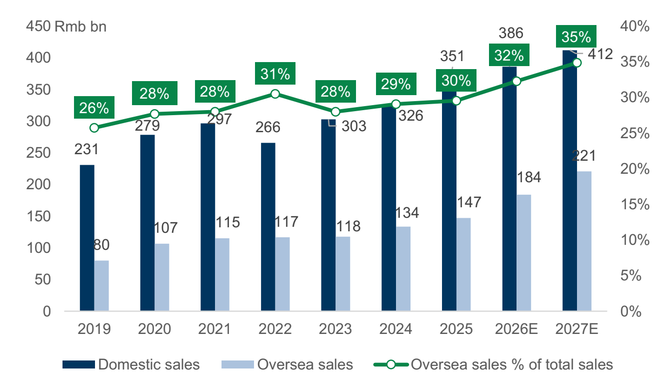
Exhibit 6: China domestic gaming market revenue (Rmb bn) and yoy % growth



Source: CNG, Goldman Sachs Global Investment Research

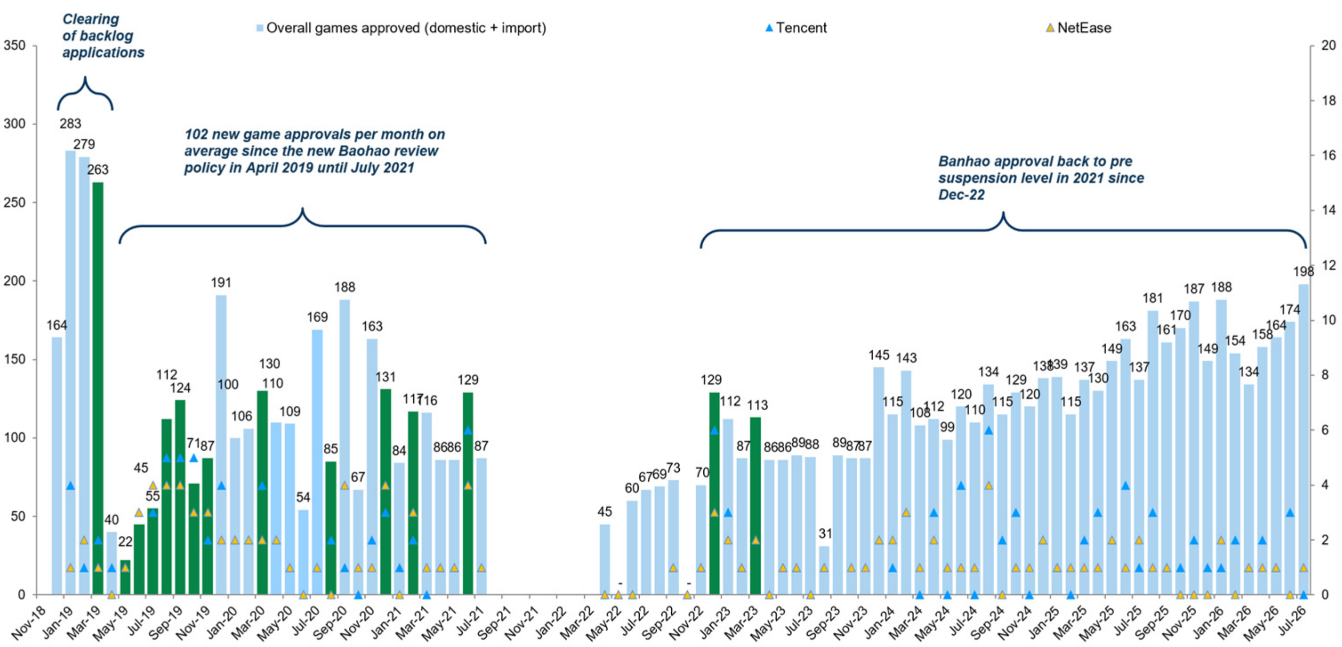
Exhibit 7: China domestic gaming market and China games overseas revenue (Rmb bn)

We expect China games overseas sales as % of total China games sales to continue rising to 35% in 2027E



Source: CNG, Goldman Sachs Global Investment Research

Exhibit 8: China game Banahao approval: the number of games approved has continued to pick up since Dec-23



Source: NPPA, Data compiled by Goldman Sachs Global Investment Research

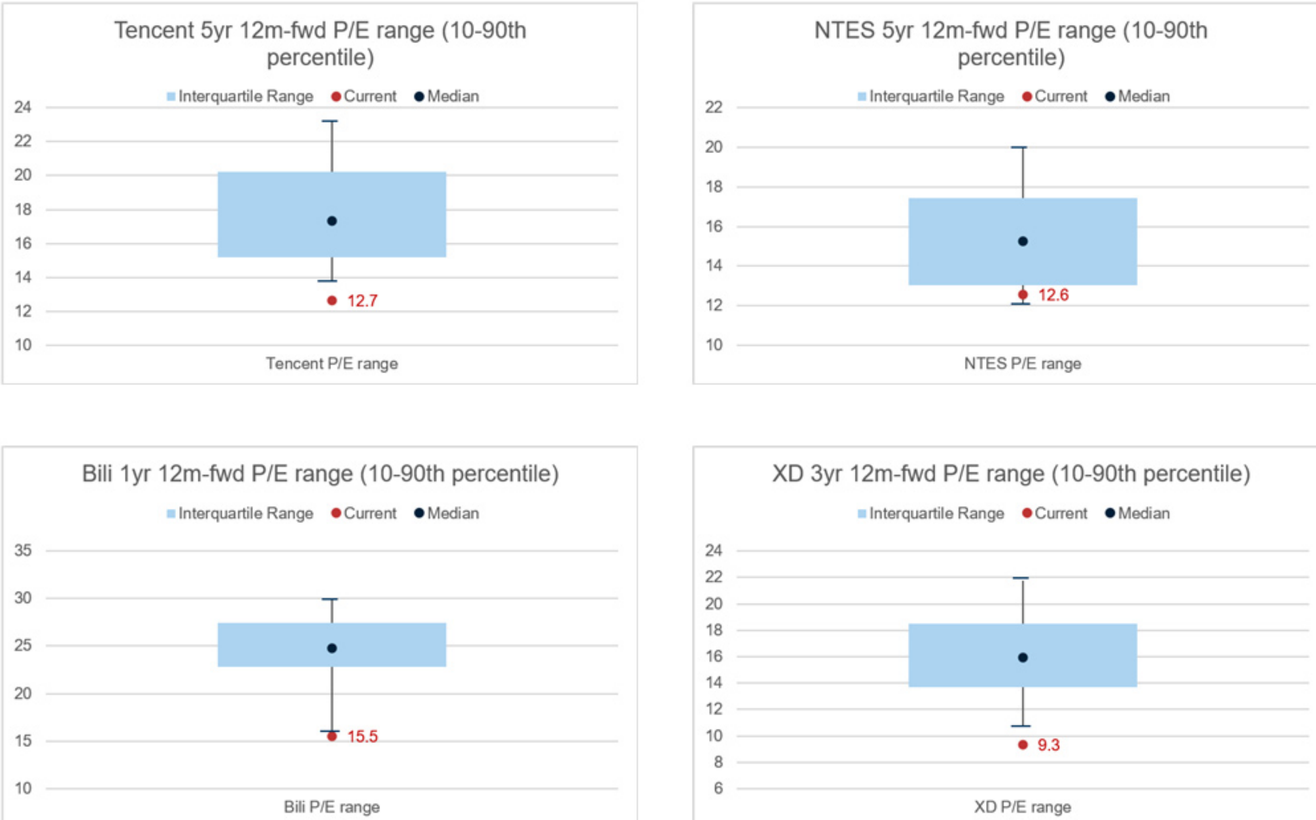
2. 2026 so far: Solid evergreen games, but relatively light new game launches; divergence among players

In 2026 so far, several potential blockbuster game launches across the industry have fallen short of earlier market expectations. However, evergreen titles and shooting games launched over the past 1-2 years, especially from Tencent, such as Valorant Mobile and Delta Force, have remained solid, highlighting the strength of enduring IPs and long-term game operations.

Cost efficiencies should also continue to materialize, driven by streamlined R&D teams, optimized channel costs, and improved operating expense efficiency. We are seeing progress in AI LLMs and world models in generating more interactive gaming assets, which could lead to broader AI adoption in future games. Recently launched titles such as Sea of Remnants and Roco Kingdom already feature an increasing number of NPC interactions.

3. Valuations of Chinese game publishers remain near 5-year lows; shareholder returns are now a supportive factor: Majority of Chinese game publishers are now trading at 9-12x forward P/E, near the lower end of their 5-year valuation range. We attribute this to moderating growth momentum, concerns over AI disruption, and a lack of major new game launches or catalysts. What could change? Improving shareholder yields should help protect downside risk for the sector, while upside could come from overseas expansion, cost-efficiency gains enabled by AI, and evergreen IPs and new titles driving a re-acceleration in growth.

Exhibit 9: 12m-fwd P/E range (10th - 90th percentile) for key gaming stocks: Tencent is currently trading even below the 10th percentile of its 5-year historical valuation, and NTES is currently trading close to the 10th percentile of its 5-year historical valuation



Source: Bloomberg, Data compiled by Goldman Sachs Global Investment Research

Tencent (Buy): We expect 2Q gaming revenue to remain solid and accelerate sequentially versus 1Q, given the timing shift of CNY. Valorant Mobile and Roco Kingdom World should provide incremental contributions in 2Q. Into 2H, we note a relatively high comp base for domestic gaming, given the strong performance of Delta Force in 2H25, as well as a high base for international gaming due to the lengthy revenue deferral period. However, we continue to see steady growth from Tencent's evergreen titles and a rich pipeline over the next 12 months, including ARC Raiders and Monster Hunter, among others.

Bili (Buy): We expect sequentially weaker game revenue in 2Q and 3Q, as key legacy titles slow and the change in revenue recognition policy affects near-term revenue. However, we expect sales growth to accelerate in 4Q as new games, including Sanguo Wangdao and Lumi Master, begin to contribute.

XD (Neutral): We reduce our estimates due to the slowdown in TapTap revenue, and now expect flat growth in 1H26 as the company revamps its ad recommendation algorithm, faces a lack of blockbuster mobile launches, and laps a high base from last year. We believe XD's overseas gaming trends remain solid, supported by launches of Heartopia, and should still deliver double-digit topline growth. It also remains a **potential beneficiary** of AI developments in gaming as its self-developed tool, TapTap Maker, continues to scale up.

We also cut our estimates for **Perfect World** to reflect its 1H26 preliminary results, as its newly launched game, Neverness to Everness, fell short of expectations and costs/expenses were front-loaded. We maintain our Sell ratings on **G-bits**, given the lack of new game launches in 2026, and **37 Interactive**, due to limited upside despite its attractive dividend payout.

Exhibit 10: China games industry: revenue growth across key players

	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Game revenue(Rmb bn)														
Tencent	179.7	197.6	241.6	265.2	289.3	311.9	59.5	59.2	63.6	59.3	64.2	65.5	70.0	65.5
Tencent - domestic	126.6	139.6	164.3	179.7	194.2	207.9	42.9	40.4	42.8	38.2	45.4	44.4	47.4	42.4
NetEase	75.8	80.4	89.6	96.2	103.7	112.0	23.4	22.1	22.8	21.3	25.1	23.6	24.1	23.4
37 Interactive	16.4	17.4	16.0	15.5	16.3	17.3	4.2	4.2	4.0	3.4	3.7	3.9	4.0	3.8
G-bits	4.1	3.6	6.2	6.5	6.6	6.9	1.1	1.4	1.9	1.7	1.8	1.6	1.6	1.5
Perfect World	6.7	5.2	5.7	7.3	7.5	8.0	1.4	1.5	1.6	1.2	1.1	1.5	2.2	2.5
Bilibili	4.0	5.6	6.4	6.1	6.7	7.1	1.7	1.6	1.5	1.5	1.5	1.4	1.4	1.8
XD	2.1	3.4	3.8	4.8	5.2	5.4	1.0	1.0	0.9	0.8	1.3	1.1	1.1	1.0
Aggregate	**257**	**266**	**296**	**318**	**341**	**364**	**77**	**74**	**76**	**69**	**81**	**79**	**82**	**76**
Game revenue yoy (%)														
Tencent	**5%**	**10%**	**22%**	**10%**	**9%**	**8%**	**24%**	**22%**	**23%**	**21%**	**8%**	**11%**	**10%**	**10%**
Tencent - domestic	2%	10%	18%	9%	8%	7%	24%	17%	15%	15%	6%	10%	11%	11%
NetEase	**10%**	**6%**	**11%**	**7%**	**8%**	**8%**	**15%**	**15%**	**13%**	**4%**	**7%**	**6%**	**6%**	**10%**
37 Interactive	1%	6%	-8%	-3%	5%	7%	-11%	-5%	-3%	-14%	-12%	-7%	2%	13%
G-bits	-20%	-12%	69%	6%	1%	4%	25%	34%	129%	99%	61%	18%	-18%	-14%
Perfect World	-8%	-22%	10%	29%	2%	7%	10%	9%	25%	-3%	-24%	2%	43%	102%
Bilibili	-20%	40%	14%	-5%	10%	5%	76%	60%	-17%	-14%	-12%	-12%	-6%	14%
XD	-15%	64%	11%	25%	9%	4%	57%	22%	-15%	-16%	24%	12%	24%	29%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 11: 2026-27 key game pipeline across our China gaming coverage

2026-27 key pipeline schedule	Tencent			NetEase			37 Interactive, G-bits, Pefect World				Bili/XD			
Summary	Name	Name	Annualized grossing (Rmb bn) GSe	Name	Name	Annualized grossing (Rmb bn) GSe	Publisher	Name	Name	Annualized grossing (Rmb bn) GSe	Publisher	Name	Name	Annualized grossing (Rmb bn) GSe
1Q26	Counter War: The Future	逆战：未来					**37 Interactive**	**Last Asylum: Plague**		**Overseas release**	**XD**	**Heartopia**	**心动小镇**	**Overseas release**
	Roco Kingdom: World	**洛克王国：世界**									Bilibili	Three Kingdoms NSLG	三国:谋定天下	Overseas release
2Q26	Honor of Kings:World	王者荣耀世界		Planet Party Time	星绘友晴天	Soft launch	**G-bits**	**Code: M88**	**杖剑传说**	**Overseas release - US/Europe**	Bilibili	Sanguo: Ncard	三国：百将牌	Soft launch
	Chaos Zero Nightmare	卡厄斯梦境					G-bits	Lost Castle 2	失落城堡2					
							Perfect World	**Neverness to Everness**	**异环**					
							37 Interactive	**Z Route: Redemption**		**Overseas release**				
							37 Interactive	Soul Land: Legacy	斗罗大陆:传承					
2H26/2027	Out of Control Evolution	失控进化		**Sea of Remnants**	**遗忘之海**		G-bits	Code: M72	问剑长生	Overseas release - US/Europe	Bilibili	Sanguo: Ncard	三国：百将牌	Official launch
	Honor of Kings: Chess	王者万象棋		Floatopia	山海奇旅		G-bits	Jiu Mu Zhi Ye	九牧之野	Oversea release	**Bilibili**	**Lumi Master**	**闪耀吧！噜咪**	
	DnF: Khazan	**地下城与勇士：卡赞**		Tamas: Shadowveil	诡影藏锋		Perfect World	Jade Dynasty: New Fantasy Lite	梦幻新诛仙：轻享		**Bilibili**	**Sangokushi: Wangdao Tianxia**	**三国志：王道天下**	
	The Hidden Ones	**异人之下**		**Fantasy Westward Journey: Renewed Fate**	**梦幻西游：再续前缘**		Perfect World	Code: Pu'er	代号普洱		XD	RO 2	仙境传说RO：守护永恒的爱2	
	ARC Raiders	**弧光猎人**					37 Interactive	Battle Through the Heavens: Path of the Dou Di	斗破苍穹:斗帝之路					
	Monster Hunter Outlanders	**怪物猎人：旅人**					37 Interactive	Battle Through the Heavens: Awakening	斗破苍穹:觉醒					
							37 Interactive	Zhu Gong Kuai Shang Ma	主公快上马					
2027 onwards	Animula Nook	粒粒的小人国		**Ananta**	**无限大**		Perfect World	Code: MT1	代号MT1		Bilibili	Sanguo: The Ravages of Time	三国火凤燎原	
	Virtual Circle	**虚环**		Infinite Borders: Three Kingdoms	万民长歌:三国		Perfect World	Code: J1	代号J1		Bilibili	Guild Wars Series	激战系列	
	Rainbow Six	**彩虹六号**		Extreme Battlefield	极限战场		Gbits	Code: M95	代号M95		**Bilibili**	**RO3**	**仙境传说3**	
	Squad	战术小队：破晓攻势		Blood Message	归唐		Gbits	Code: M98	代号M98		**Bilibili**	**Escape From Duckov mobile**	**逃离鸭科夫手游**	
	Rewinding Cadence	**归环**		Code: Oni	妖妖棋		37 Interactive	Huang Mo Sha Zhou	荒漠沙舟		Bilibili	Core Keeper	护核纪元	
	Roco Kingdom: Elf Cards	**洛克王国：精灵牌**		Onmyoji: Auto Chess	风华决战		37 Interactive	Code: YCSLG	代号YCSLG					

Source: Company data, Goldman Sachs Global Investment Research

NTES: Expect still resilient growth and margin expansion in 2H2026, despite mixed feedback for SoR; Buy (on CL)

We note the recent launch of Sea of Remnants (SoR) saw weaker than expected trends given the current PC/mobile momentum, and feedback from users was mixed with the relatively complicated gameplay/time-consuming plots as the key pushbacks. We believe there’s still potential for the game’s turnaround if it can expand the targeted users group with refreshed content. However, we do factor in lower estimates for SoR with 12m grossing of less than RMB3bn currently, and await for further progress on the game updates.

Having said that, the reduction in SoR estimates is equivalent to **2-3% of NTES’s game**

revenue/profit and should not have significant impact on the growth trend. We still look for OP growth of 18-20% yoy for rest of 2026, coming from GPM expansion, cost efficiency and relatively easier comp. We expect NP will be impacted by investment losses (PDD mainly) in 2Q, but we do not see it a key factor impacting share prices. As we highlighted in our earlier note, we see NTES as a solid non-AI play that has little correlation with AI capex/momentum trade, and is well positioned as a defensive play with a favorable valuation. Stay Buy (on APAC CL) with revised TPs of **US$167/HK$262**.

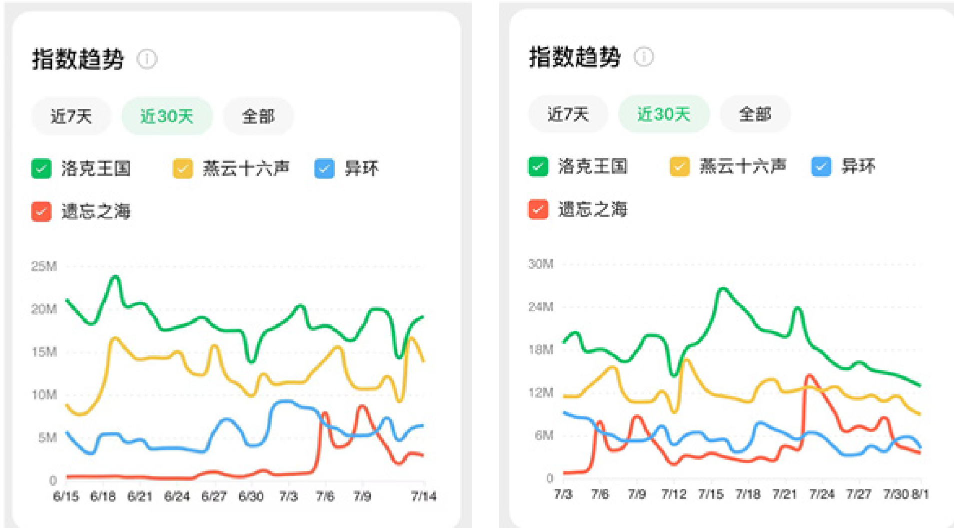
Mixed feedback on Sea of Remnants: Overall user feedback has been mixed following its launch. While players have generally praised the game's distinctive art style, pirate-themed world building and overall production quality, discussion across major gaming communities and social media platforms suggests that user concerns regarding progression grind, system complexity and mobile optimization have weighed on the overall sentiment.

- **Positive:** Users have responded favorably to the game's unique visual identity, atmospheric world design and narrative presentation. The pirate-adventure setting, character designs and exploration elements are frequently viewed as key differentiators versus competing anime RPGs. Many users also consider the game's overall production quality and creative direction as standing above genre averages.
- **Negative:** The most common criticism relates to the game's heavy time commitment and progression grind, with many players describing the early-game experience as overly demanding. User feedback also points to onboarding challenges, including insufficient tutorial guidance and complex progression systems. In addition, some players have expressed challenges with resource acquisition and monetization design, while technical issues such as mobile device optimization, performance instability and occasional crashes have negatively impacted the user experience.

For 2Q26, we look for 6% reported game revenue yoy and 18% OP growth from gross margin expansion. We expect net profit will be impacted by the investment loss from PDD and Baba, and possibly FX losses/tax rate change, however we see core OP growth is a more important factor for share price performance.

What to expect next: 1) margin & cost efficiency trend as NTES continues to leverage AI and optimize its opex, 2) Key gaming titles trend: FWJ/Justice/Where Winds Meet upgrade packs/version in recent months, SoR longer term operation/overseas launch progress, new game updates from Ananta.

Exhibit 12: Sea of Remnants: Weixin Index vs. other recently-released titles and WWM
Weixin Index indicates that popularity of Sea of Remnants has faded quickly after launch



Source: Weixin Index, Data compiled by Goldman Sachs Global Investment Research

Exhibit 13: NetEase: key titles timespent monthly yoy % and mom % trend

NetEase 网易- domestic	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Timespent yoy %																		
Timespent yoy % - by titles																		
Fantasy Westward Journey	5%	2%	10%	17%	19%	16%	23%	16%	14%	12%	14%	21%	-7%	3%	5%	17%	18%	16%
Where Winds Meet							-7%	-16%	-6%	5%	-20%	-31%					-10%	-17%
Eggy Party	-11%	-6%	-15%	17%	23%	17%	-25%	44%	24%	19%	8%	5%	-42%	-24%	-9%	18%	11%	10%
Identity V	-30%	-46%	-47%	-49%	-51%	-48%	-51%	-23%	-37%	-38%	-30%	3%	116%	11%	-41%	-49%	-38%	-24%
Justice Mobile	-41%	-33%	-20%	-36%	-44%	-40%	-52%	-27%	-34%	-41%	-34%	-34%	-44%	-39%	-34%	-40%	-39%	-36%
Naraka Mobile	-33%	-76%	-64%	-58%	-53%	-59%	-54%	-55%	-50%	-54%	-52%	-55%			-64%	-57%	-53%	-54%
Timespent mom % / qoq %																		
Timespent mom % / qoq % - by titles																		
Fantasy Westward Journey	-3%	-2%	14%	10%	-1%	4%	-1%	-15%	21%	1%	-4%	0%	-4%	7%	-6%	21%	-3%	5%
Where Winds Meet	9%	21%	-10%	2%	-10%	29%	-1%	-20%	-17%	-11%	-11%	-5%		-29%	34%	3%	-8%	-35%
Eggy Party	95%	24%	-59%	39%	-19%	2%	27%	68%	-43%	-17%	-3%	-4%	54%	-36%	80%	-33%	45%	-37%
Identity V	19%	-10%	-39%	4%	-11%	7%	27%	31%	-20%	1%	-6%	28%	16%	-19%	-17%	-35%	43%	-1%
Justice Mobile	23%	-18%	-21%	-12%	4%	4%	-10%	16%	-11%	-31%	14%	19%	-2%	-25%	14%	-28%	-1%	-22%
Naraka Mobile	42%	-3%	-26%	-7%	-16%	-7%	-8%	-16%	-2%	-14%	5%	-11%	-32%	-21%	24%	-35%	-27%	-21%

Source: QuestMobile, Data compiled by Goldman Sachs Global Investment Research

NTES: For 2026E-28E, we finetune our revenue forecasts for -1%~-3% to reflect weaker-than-expected performance of Sea of Remnants, and we lower our 2026E-28E net profit estimates by -3%~-4% accordingly. Our target multiples are unchanged at 18x for Mobile and PC Games. In light of the above, our 12-month SOTP-based target prices are lowered to **US$167/HK$262** for NTES/9999.HK (vs. prior US$169/HK$264).

Exhibit 14: NTES: key changes to GSe

Rmb mn	New 2026E	Change	New 2027E	Change	New 2028E	Change
Net Revenues	119,290	-1%	127,637	-3%	137,466	-3%
Operating profit, non-GAAP	46,377	-2%	50,552	-3%	55,313	-3%
Net profit, non-GAAP	39,825	-3%	45,469	-4%	48,972	-4%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 15: NTES: SOTP valuation

US$mn	PER 2026E	Valuation	Stake	to NTES	Value per sh	% total value
Games	**18.0 x**	**97,325**	**100%**	**97,325**	**151**	**90%**
PC games	18.0 x	39,559	100%	39,559	61	37%
Mobile games	18.0 x	57,765	100%	57,765	90	54%
Other businesses		**4,610**		**3,014**	**5**	**3%**
Total	**17.9 x**	**101,934**		**100,338**	**156**	**93%**
Net cash				19,963	31	19%
Total valuation	**21.5 x**			**120,301**	**187**	**112%**
Holdco. discount			*-10%*	(12,391)	(19)	-12%
SOTP (US$)	**19.3 x**			**107,910**	**167**	
in HK$				**843,856**	**262**	

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 16: NTES: financial summary

RMB mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	87,606	96,496	103,468	105,295	112,626	119,290	127,637	137,466	28,829	27,892	28,359	27,547	30,591	29,338	29,773	29,588
% yoy	19%	10%	7%	2%	7%	6%	7%	8%	7%	9%	8%	3%	6%	5%	5%	7%
1. Online games & VAS (new)	67,819	74,566	81,565	83,623	92,149	98,699	106,214	114,670	24,048	22,806	23,328	21,967	25,713	24,223	24,677	24,085
%yoy		**10%**	**9%**	**3%**	**10%**	**7%**	**8%**	**8%**	**12%**	**14%**	**12%**	**3%**	**7%**	**6%**	**6%**	**10%**
Online games	62,806	68,999	75,787	80,442	89,623	96,173	103,689	112,018	23,447	22,145	22,768	21,264	25,070	23,562	24,118	23,424
%yoy	**15%**	**10%**	**10%**	**6%**	**11%**	**7%**	**8%**	**8%**	**15%**	**15%**	**13%**	**4%**	**7%**	**6%**	**6%**	**10%**
a. Mobile games	44,279	46,270	56,969	58,531	59,492	62,603	66,391	71,008	15,381	14,837	15,254	14,034	16,045	15,315	16,045	15,198
%yoy	13%	4%	23%	3%	2%	5%	6%	7%	-4%	1%	7%	5%	4%	3%	5%	8%
b. PC Games	18,528	22,729	18,819	21,910	30,131	33,571	37,298	41,010	8,066	7,308	7,513	7,230	9,025	8,247	8,073	8,226
%yoy	21%	23%	-17%	16%	38%	11%	11%	10%	84%	61%	27%	1%	12%	13%	7%	14%
Online games cash revenue	**64,369**	**69,383**	**76,645**	**82,470**	**94,952**	**98,766**	**105,428**	**113,946**	**26,146**	**21,218**	**25,380**	**22,208**	**26,548**	**22,088**	**26,268**	**23,863**
%yoy	15%	8%	10%	8%	15%	4%	7%	8%	17%	20%	14%	10%	2%	4%	3%	7%
a. Mobile games	**45,380**	**46,528**	**57,614**	**60,008**	**63,030**	**64,290**	**67,505**	**72,230**	**17,152**	**14,216**	**17,005**	**14,657**	**16,991**	**14,442**	**17,475**	**15,383**
b. PC Games	**18,988**	**22,855**	**19,032**	**22,463**	**31,922**	**34,476**	**37,924**	**41,716**	**8,994**	**7,002**	**8,375**	**7,551**	**9,557**	**7,646**	**8,793**	**8,480**
c. Non-game (CC Live streaming & VAS)	5,013	5,568	5,778	3,181	2,525	2,525	2,525	2,652	601	661	560	703	643	661	560	661
%yoy		11%	4%	-45%	-21%	0%	0%	5%	-42%	-15%	-16%	0%	7%	0%	0%	-6%
2. Youdao	5,354	5,013	5,389	5,626	5,909	6,310	6,904	7,571	1,298	1,418	1,629	1,565	1,348	1,533	1,767	1,663
%yoy	69%	-6%	8%	4%	5%	7%	9%	10%	-7%	7%	4%	17%	4%	8%	8%	6%
3. Cloud Music	6,998	8,992	7,867	7,950	7,759	8,060	8,703	9,822	1,858	1,969	1,964	1,968	1,981	2,026	1,999	2,054
%yoy	43%	29%	-13%	1%	-2%	4%	8%	13%	-8%	-4%	-2%	5%	7%	3%	2%	4%
4. Other Innovative business (new)	7,435	7,924	8,647	8,097	6,809	6,220	5,815	5,403	1,624	1,699	1,439	2,047	1,549	1,556	1,330	1,785
GP (GAAP)	46,971	52,766	63,063	65,807	72,402	81,983	88,521	96,207	18,479	18,052	18,178	17,692	21,217	20,119	20,527	20,119
Gross Margin	**53.6%**	**54.7%**	**60.9%**	**62.5%**	**64.3%**	**68.7%**	**69.4%**	**70.0%**	**64.1%**	**64.7%**	**64.1%**	**64.2%**	**69.4%**	**68.6%**	**68.9%**	**68.0%**
Opex (non-GAAP)	28,346	30,722	32,935	33,526	33,924	36,289	38,701	41,681	7,320	8,336	9,529	8,738	8,229	8,656	10,179	9,225
S&M	12,096	13,283	13,837	14,043	14,487	16,299	17,439	18,782	2,663	3,541	4,429	3,855	3,417	3,786	4,880	4,216
G&A	3,158	3,481	3,781	3,481	3,312	2,911	3,115	3,355	695	849	955	812	592	763	834	723
R&D	13,092	13,958	15,318	16,002	16,125	17,080	18,147	19,545	3,962	3,946	4,146	4,071	4,220	4,107	4,466	4,287
S&M as % Sales	**13.8%**	**13.8%**	**13.4%**	**13.3%**	**12.9%**	**13.7%**	**13.7%**	**13.7%**	**9.2%**	**12.7%**	**15.6%**	**14.0%**	**11.2%**	**12.9%**	**16.4%**	**14.2%**
G&A as % Sales	**3.6%**	**3.6%**	**3.7%**	**3.3%**	**2.9%**	**2.4%**	**2.4%**	**2.4%**	**2.4%**	**3.0%**	**3.4%**	**2.9%**	**1.9%**	**2.6%**	**2.8%**	**2.4%**
R&D as % Sales	**14.9%**	**14.5%**	**14.8%**	**15.2%**	**14.3%**	**14.3%**	**14.2%**	**14.2%**	**13.7%**	**14.1%**	**14.6%**	**14.8%**	**13.8%**	**14.0%**	**15.0%**	**14.5%**
EBIT (non-GAAP)	19,348	22,724	30,901	33,397	39,419	46,377	50,552	55,313	11,377	9,992	8,900	9,150	13,258	11,753	10,641	10,726
%yoy	*13%*	*17%*	*36%*	*8%*	*18%*	*18%*	*9%*	*9%*	*34%*	*24%*	*10%*	*5%*	*17%*	*18%*	*20%*	*17%*
%margin	**22.1%**	**23.5%**	**29.9%**	**31.7%**	**35.0%**	**38.9%**	**39.6%**	**40.2%**	**39.5%**	**35.8%**	**31.4%**	**33.2%**	**43.3%**	**40.1%**	**35.7%**	**36.3%**
Net profit (non-GAAP)	19,788	22,808	32,608	33,511	37,344	39,825	45,469	48,972	11,237	9,532	9,502	7,073	11,275	8,754	9,780	10,015
%yoy	*35%*	*15%*	*43%*	*3%*	*11%*	*7%*	*14%*	*8%*	*32%*	*22%*	*27%*	*-27%*	*0%*	*-8%*	*3%*	*42%*
%margin	**22.6%**	**23.6%**	**31.5%**	**31.8%**	**33.2%**	**33.4%**	**35.6%**	**35.6%**	**39.0%**	**34.2%**	**33.5%**	**25.7%**	**36.9%**	**29.8%**	**32.8%**	**33.9%**

Source: Company data, Goldman Sachs Global Investment Research

Tencent: still gaming growth from evergreen titles/pipeline ahead; Buy

We fine-tune our 2026-28E revenue estimates by -1% /net profit by -0.5~-1.7%, on the back of a soft 2Q fintech trend and the high base for domestic/international games, with our SOTP-based 12-month target price at HK$700 (unchanged). However, we continue to see steady growth from evergreen titles and a rich pipeline from Tencent for the next 12m, including ARC Raiders, Monster Hunter etc.

Exhibit 17: Tencent: key titles timespent monthly yoy % and mom % trend

Tencent 腾讯 - domestic	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Timespent yoy %																		
Timespent yoy % - by titles																		
Honour of Kings	-3%	2%	-6%	11%	5%	-12%	-8%	15%	0%	8%	13%	19%	-12%	-8%	-2%	1%	2%	13%
Delta Force	16371%	13285%	2251%	301%	370%	312%	265%	411%	258%	199%	141%	94%			5251%	326%	307%	139%
Golden Spatula	-5%	-10%	-10%	-37%	-47%	7%	-21%	-20%	-32%	-39%	-31%	-33%	-3%	-18%	-8%	-27%	-25%	-35%
PeaceKeeper Elite	-11%	-10%	-13%	-5%	-2%	17%	-10%	19%	-2%	-2%	1%	-5%	11%	18%	-11%	3%	2%	-2%
DnF mobile	-78%	-67%	-59%	-38%	-34%	-56%	-48%	-44%	-27%	-44%	-47%	-47%		-54%	-69%	-44%	-42%	-46%
League of Legends Mobile	-5%	-5%	-4%	0%	5%	-2%	-8%	11%	-3%	-3%	-18%	-17%	-25%	-14%	-5%	1%	0%	-13%
Cross Fire	-15%	-16%	1%	-8%	0%	1%	-34%	-32%	-42%	-43%	-51%	-45%	-13%	-1%	-11%	-2%	-36%	-46%
Naruto mobile	-16%	-18%	-13%	-19%	-3%	11%	-12%	11%	-5%	-19%	-26%	-26%	-11%	-17%	-16%	-4%	-3%	-24%
Timespent mom % / qoq %																		
Timespent mom % / qoq % - by titles																		
Honour of Kings	18%	2%	-21%	37%	-15%	-13%	35%	10%	-21%	10%	5%	-9%	13%	-12%	1%	1%	14%	-3%
Delta Force	56%	6%	-3%	13%	-1%	-9%	15%	26%	-19%	7%	12%	-16%	24%	75%	82%	9%	18%	2%
Golden Spatula	-1%	7%	-11%	-20%	-15%	83%	-15%	5%	-2%	-25%	-12%	-2%	17%	-20%	-9%	-13%	20%	-31%
PeaceKeeper Elite	27%	16%	-41%	10%	-10%	28%	8%	21%	-27%	-14%	12%	-8%	28%	-19%	22%	-18%	27%	-22%
DnF mobile	-10%	21%	-4%	14%	-12%	-12%	-4%	-33%	25%	-17%	-7%	-6%	-32%	-17%	-4%	4%	-30%	-22%
League of Legends Mobile	1%	5%	-11%	5%	9%	-6%	-4%	3%	-7%	-8%	-2%	-3%	-4%	0%	2%	3%	-5%	-13%
Valorant mobile	58%	341%	51%	12%	-14%	0%	23%	10%	-26%	-6%	5%	7%		229382%	1795%	68%	14%	-16%
Cross Fire	18%	34%	-15%	-18%	9%	14%	-21%	-25%	-7%	-8%	-19%	-3%	9%	-19%	22%	-10%	-28%	-32%
Naruto mobile	-1%	-11%	-7%	-2%	2%	20%	9%	-12%	-12%	-15%	12%	-6%	8%	1%	-9%	-4%	10%	-21%
Roco Kingdom: World										363%	-35%	-46%						824%

Source: QuestMobile, Data compiled by Goldman Sachs Global Investment Research

Exhibit 18: Tencent: Summary of changes

Rmb mn	New 2026E	chg %	New 2027E	chg %	New 2028E	chg %
Total revenues	823,183	-0.5%	895,421	-0.6%	973,560	-0.6%
Net profit, non-IFRS	277,467	-0.5%	299,761	-1.7%	330,261	-1.7%
Diluted EPS, adj (Rmb)	30.07	-0.5%	32.55	-1.7%	35.94	-1.7%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 19: Tencent financial summary

Income Statement (RMB mn)	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Value added services	**298,375**	**319,168**	**369,281**	**392,238**	**420,248**	**450,776**	**92,133**	**91,368**	**95,860**	**89,920**	**96,110**	**97,424**	**102,293**	**96,412**
Domestic gaming	126,600	139,600	164,300	179,711	194,200	207,929	42,900	40,400	42,800	38,200	45,400	44,443	47,446	42,422
International gaming	53,100	58,000	77,300	85,466	95,117	103,953	16,600	18,800	20,800	21,100	18,800	21,045	22,516	23,104
Social network	118,675	121,568	127,681	127,062	130,930	138,895	32,633	32,168	32,260	30,620	31,910	31,936	32,330	30,886
Marketing services	**101,482**	**121,374**	**144,973**	**170,409**	**190,354**	**211,863**	**31,853**	**35,762**	**36,242**	**41,116**	**38,171**	**42,042**	**42,424**	**47,771**
Others incl. FinTech & Business Servic	**209,158**	**219,715**	**237,512**	**260,536**	**284,819**	**310,921**	**56,036**	**57,374**	**60,767**	**63,335**	**62,177**	**61,877**	**66,557**	**69,925**
Fintech	166,775	169,343	179,365	188,102	197,188	206,395	44,811	44,332	44,917	45,305	47,787	46,105	46,705	47,505
Business service/Cloud	36,988	42,613	50,070	64,042	78,929	95,518	10,096	11,204	13,257	15,513	12,098	13,933	17,259	20,752
Total revenues	**609,015**	**660,257**	**751,766**	**823,183**	**895,421**	**973,560**	**180,022**	**184,504**	**192,869**	**194,371**	**196,458**	**201,343**	**211,274**	**214,109**
Cost of revenues	**(315,906)**	**(311,011)**	**(329,173)**	**(355,912)**	**(383,447)**	**(413,818)**	**(79,529)**	**(79,491)**	**(84,071)**	**(86,082)**	**(85,193)**	**(86,032)**	**(91,309)**	**(93,378)**
Gross profit	**293,109**	**349,246**	**422,593**	**467,271**	**511,974**	**559,742**	**100,493**	**105,013**	**108,798**	**108,289**	**111,265**	**115,311**	**119,965**	**120,730**
Interest income	13,808	16,004	16,909	17,686	20,158	21,987	3,748	4,121	4,256	4,784	4,025	5,063	5,063	3,534
Other gains	4,701	8,002	(3,177)	6,585	7,163	7,788	(1,397)	(3,578)	483	1,315	1,253	2,013	2,113	1,206
Sales and marketing	(34,211)	(36,388)	(41,727)	(48,568)	(52,830)	(56,004)	(7,866)	(9,410)	(11,468)	(12,983)	(11,343)	(11,779)	(12,360)	(13,087)
General and administrative	(103,525)	(112,761)	(136,127)	(158,454)	(174,346)	(185,586)	(33,664)	(31,921)	(34,259)	(36,283)	(33,800)	(39,873)	(42,007)	(42,774)
Operating profit, IFRS	160,074	208,099	241,562	266,835	291,961	325,941	57,566	60,104	63,554	60,338	67,375	65,673	67,711	66,076
Operating profit, non-IFRS	191,886	237,811	280,656	302,375	328,769	364,050	69,320	69,248	72,570	69,518	75,627	75,212	77,627	73,909
Taxation	(43,276)	(45,018)	(47,448)	(54,836)	(60,570)	(67,132)	(13,717)	(11,351)	(9,785)	(12,595)	(14,577)	(12,849)	(11,843)	(15,568)
Net profit, GAAP	115,216	194,073	224,842	237,631	259,022	288,669	47,821	55,628	63,133	58,260	58,093	57,177	63,721	58,640
Net profit, Non-GAAP	**157,688**	**222,703**	**259,626**	**277,467**	**299,761**	**330,261**	**61,329**	**63,052**	**70,551**	**64,694**	**67,905**	**67,901**	**74,823**	**66,838**
Diluted EPS, Non-GAAP (Rmb)	**16.42**	**23.67**	**28.09**	**30.07**	**32.55**	**35.94**	**6.58**	**6.79**	**7.58**	**6.97**	**7.36**	**7.40**	**8.16**	**7.29**
Revenue breakdown	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Marketing services	**101,482**	**121,374**	**144,973**	**170,409**	**190,354**	**211,863**	**31,853**	**35,762**	**36,242**	**41,116**	**38,171**	**42,042**	**42,424**	**47,771**
Online Gaming	**179,700**	**197,600**	**241,600**	**265,177**	**289,318**	**311,881**	**59,500**	**59,200**	**63,600**	**59,300**	**64,200**	**65,488**	**69,963**	**65,526**
Fintech	166,775	169,343	179,365	188,102	197,188	206,395	44,811	44,332	44,917	45,305	47,787	46,105	46,705	47,505
Business services	36,988	42,613	50,070	64,042	78,929	95,518	10,096	11,204	13,257	15,513	12,098	13,933	17,259	20,752
YoY	*2023*	*2024*	*2025*	*2026E*	*2027E*	*2028E*	*1Q25*	*2Q25*	*3Q25*	*4Q25*	*1Q26*	*2Q26E*	*3Q26E*	*4Q26E*
Total revenues	***10%***	***8%***	***14%***	***9%***	***9%***	***9%***	***13%***	***15%***	***15%***	***13%***	***9%***	***9%***	***10%***	***10%***
Marketing services	***23%***	***20%***	***19%***	***18%***	***12%***	***11%***	***20%***	***20%***	***21%***	***17%***	***20%***	***18%***	***17%***	***16%***
Online Gaming	***5%***	***10%***	***22%***	***10%***	***9%***	***8%***	***24%***	***22%***	***23%***	***21%***	***8%***	***11%***	***10%***	***10%***
Fintech	***16%***	***2%***	***6%***	***5%***	***5%***	***5%***	***3%***	***9%***	***8%***	***4%***	***7%***	***4%***	***4%***	***5%***
Business service	***11%***	***15%***	***17%***	***28%***	***23%***	***21%***	***14%***	***16%***	***17%***	***22%***	***20%***	***24%***	***30%***	***34%***
Cloud	*6%*	*7%*	*8%*	*20%*	*18%*	*16%*	*4%*	*6%*	*7%*	*13%*	*14%*	*18%*	*22%*	*24%*
Gross profit	***23%***	***19%***	***21%***	***11%***	***10%***	***9%***	***20%***	***22%***	***22%***	***19%***	***11%***	***10%***	***10%***	***11%***
Operating profit, non-IFRS	*34%*	*24%*	*18%*	*8%*	*9%*	*11%*	*18%*	*18%*	*18%*	*17%*	*9%*	*9%*	*7%*	*6%*
Net profit, Non-GAAP	***36%***	***41%***	***17%***	***7%***	***8%***	***10%***	***22%***	***10%***	***18%***	***17%***	***11%***	***8%***	***6%***	***3%***
Diluted EPS, Non-GAAP (Rmb)	***37%***	***44%***	***19%***	***7%***	***8%***	***10%***	***25%***	***13%***	***19%***	***18%***	***12%***	***9%***	***8%***	***5%***
Margins	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Gross margin	**48.1%**	**52.9%**	**56.2%**	**56.8%**	**57.2%**	**57.5%**	**55.8%**	**56.9%**	**56.4%**	**55.7%**	**56.6%**	**57.3%**	**56.8%**	**56.4%**
Operating margin, IFRS	26.3%	31.5%	32.1%	32.4%	32.6%	33.5%	32.0%	32.6%	33.0%	31.0%	34.3%	32.6%	32.0%	30.9%
Operating margin, non-IFRS	31.5%	36.0%	37.3%	36.7%	36.7%	37.4%	38.5%	37.5%	37.6%	35.8%	38.5%	37.4%	36.7%	34.5%
Net margin, GAAP	18.9%	29.4%	29.9%	28.9%	28.9%	29.7%	26.6%	30.2%	32.7%	30.0%	29.6%	28.4%	30.2%	27.4%
Net margin, non-GAAP	25.9%	33.7%	34.5%	33.7%	33.5%	33.9%	34.1%	34.2%	36.6%	33.3%	34.6%	33.7%	35.4%	31.2%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 20: Our 12-m SOTP-based TP for Tencent is HK$700 per share (unchanged)

USD to RMB	6.90 US$ to HI	7.80		700				
SUM of PARTS	% owned	Valuation US$mn	To Tencent *(US$ mn)*	To Tencent *(Rmb mn)*	Rmb/sh	HK$/sh	% Val	COMMENT
CORE BUSINESS								
Entertainment	**96.8%**	**389,754**	**377,418**	**2,604,181**	**282**	**319**	**46%**	
Gaming	100.0%	360,309	360,309	2,486,135	269	305	44%	**@ 22x PE, 26E**
Domestic	100%	247,237	247,237	1,705,932	185	209	30%	@ 20x PE, 26E
International	100%	113,073	113,073	780,203	85	96	14%	@ 24x PE, 26E
Tencent Video	100%	3,127	3,127	21,573	2.3	2.6	0%	**@ DCF (14% WACC, 5% g)**
Tencent Music	52%	23,343	12,239	84,446	9.2	10.3	1%	GS target valuation
China Literature	57%	2,417	1,374	9,484	1.0	1.2	0%	Market cap
Huya	66%	558	369	2,543	0.3	0.3	0%	Market cap
Advertising (ex video)	**100%**	**235,621**	**235,621**	**1,625,786**	**176**	**199**	**28%**	@ 25x PE, 26E
FinTech (FiT) (x-WeBank)	**100%**	**101,650**	**101,650**	**701,385**	**76**	**86**	**12%**	@ 16x PE, 26E
Cloud/Business service	**100%**	**60,237**	**60,237**	**415,635**	**45**	**51**	**7%**	**@ 6x Rev, 26E**
Others	100%	32,239	32,239	222,450	24.1	27.3	4%	**@ 0.5x rev, 26E**
CORE		**819,501**	**807,165**	**5,569,437**	**603.6**	**682.3**	**97%**	
Net CASH		**6,461**	**6,461**	**44,578**	**4.8**	**5.5**	**1%**	2026 net cash
NAV (pre holdco discount)		**923,410**	**923,410**	**6,371,530**	**691**	**781**		
Less holdco discount	-10%	(96,035)	(96,035)	(662,639)	(72)	(81)	-12%	
NAV		**827,375**	**827,375**	**5,708,891**	**619**	**700**		

Bili: 2Q26 solid ads offset slower games, core profits growth on contained AI investments

Bili is still one of the fastest growing platforms, from both a user engagement and ads revenue perspective. We expect continued solid ads growth from better monetization, while games' turnaround is in sight before year end. Hence, despite Bili's valuation trading at a premium vs. Internet peers, (now 18X 2026E PE), we believe the name offers a favorable growth profile with limited earnings impact from AI investments, but is a beneficiary of a proliferation in AI generated content. Stay Buy.

Ads strength to continue: we expect Bili to maintain above 20% level ads growth, coming from an increase in timespent, better monetization and expansion of ads format. This is against a relative weak macro/ads environment into 2Q26, as Bili is viewed as a differentiated content platform and high growing verticals include AI/internet services, games/short drama etc. As long as engagement stays healthy, we see a long runway for Bili ads to grow.

Gaming recovery from 4Q26: Bili has unveiled a few key game pipelines for the next 12months, spanning from Lumi Master and Sanguo Wangdao (set for 4Q26 launch), and RO3 (exclusive licensing game, first testing in end Aug). We believe these games will help drive a turnaround of Bili gaming revenue from 4Q26 onwards. The market expectations have been lowered throughout the year, and we see potential for both Sanguo Wangdao and RO3 to be a RMBbn level grossing game, vs. Bili's RMB6bn revenue scale.

For 2Q26, we look for 7% revenue, driven by high 20% ads growth, offset by the 12% game revenue drop. Core profit margin should still expand on the back of favorable revenue mix and disciplined AI investment. The key is guidance into 2H26 ads and gaming growth, where we expect low 20% yoy for ads and lower 3Q games before recovering into 4Q.

Exhibit 21: China Media Advertising: Annual advertising revenue by platform

		Ad Rev (Rmb mn) 2024	2025	2026E	2027E	2028E	% yoy 2024	2025	2026E	2027E	2028E
Social	Tencent	121,374	144,973	170,409	190,354	211,863	20%	19%	18%	12%	11%
Search	Baidu	72,849	62,546	49,613	42,388	38,920	-3%	-14%	-21%	-15%	-8%
Short-form video	Kuaishou	72,419	81,462	85,001	89,246	94,065	20%	12%	4%	5%	5%
	Kuaishou - non e-com	36,915	41,816	44,527	46,724	49,732	25%	13%	6%	5%	6%
Media	Bilibili	8,189	10,058	12,580	14,795	16,984	28%	23%	25%	18%	15%
	iQIYI	5,714	5,193	5,059	5,223	5,444	-8%	-9%	-3%	3%	4%
	Tencent Music	3,386	4,075	5,054	5,812	6,277	30%	20%	24%	15%	8%
	Mango Excellent Media	3,438	3,831	4,183	4,408	4,622	-3%	11%	9%	5%	5%
	XD	1,578	1,968	2,060	2,351	2,607	22%	25%	5%	14%	11%
Offline elevator	Focus Media	12,262	12,759	13,257	13,956	14,784	3%	4%	4%	5%	6%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 22: China Media Advertising: Quarterly advertising revenue by platform

		Ad Rev (Rmb mn) 1Q26	2Q26E	3Q26E	4Q26E	%yoy 1Q26	2Q26E	3Q26E	4Q26E
Social	Tencent	38,171	42,042	42,424	47,771	20%	18%	17%	16%
Search	Baidu	12,500	12,845	12,108	12,160	-22%	-21%	-21%	-19%
Short-form video	Kuaishou	19,643	20,838	20,645	23,875	9%	5%	3%	1%
	Kuaishou - non e-com	10,035	10,808	11,463	12,221	11%	6%	7%	3%
Media	Bili	2,589	3,127	3,151	3,713	30%	28%	23%	22%
	iQIYI	1,241	1,254	1,231	1,334	-7%	-1%	-1%	-1%
	Tencent Music	1,009	1,397	1,312	1,335	21%	15%	30%	32%
	Mango Excellent Media	833	1,001	834	1,516	16%	15%	10%	2%
Offline elevator	Focus Media	2,915	3,392	3,662	3,288	2%	4%	5%	4%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 23: Bilibili: key titles timespent monthly yoy % and mom % trend

Bilibili 哔哩哔哩- domestic	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Timespent yoy %																		
Timespent yoy % - by titles																		
Sanguo: NSLG	-43%	-38%	-40%	-30%	-33%	-34%	-33%	-42%	-33%	-50%	-42%	-44%		237%	-40%	-32%	-35%	-46%
Fate/Grand Order	-17%	53%	111%	165%	70%	40%	36%	39%	18%	24%	79%	67%	5%	-3%	38%	78%	31%	57%
Azur Lane	8%	8%	9%	13%	15%	7%	-4%	19%	-7%	-3%	-15%	-10%	-2%	4%	8%	11%	2%	-10%
Princess Connect! Re:Dive	53%	19%	23%	73%	20%	26%	22%	1%	19%	-31%	-27%	-14%	-2%	26%	30%	38%	14%	-25%
Timespent mom % / qoq %																		
Timespent mom % / qoq % - by titles																		
Sanguo: NSLG	-31%	15%	-24%	14%	-6%	-2%	5%	-42%	57%	-21%	-11%	35%	-12%	6%	-22%	-6%	-16%	-11%
Fate/Grand Order	32%	131%	-45%	18%	-42%	88%	-28%	-30%	6%	8%	59%	-18%	-2%	7%	91%	-11%	-28%	28%
Azur Lane	-6%	-4%	11%	-6%	6%	8%	-10%	-9%	0%	-10%	16%	-1%	-2%	8%	-1%	6%	-10%	-4%
Princess Connect! Re:Dive	6%	-6%	2%	23%	-19%	2%	2%	-7%	-2%	-3%	-6%	-2%	11%	34%	-14%	8%	-9%	-11%
Sanguo: Ncard											81%	-22%						

Source: QuestMobile, Data compiled by Goldman Sachs Global Investment Research

Exhibit 24: Bili financial summary

	2022	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
MAU (mn)	314	329	341	368	375	386	394	368	363	376	366	376	373	379	371
%yoy	26%	4%	4%	8%	2%	3%	2%	8%	8%	8%	8%	2%	3%	1%	1%
DAU (mn)	87	98	104	112	117	122	124	107	109	117	113	115	115	119	117
DAU/MAU	28%	30%	30%	30%	31%	32%	32%	29%	30%	31%	31%	31%	31%	32%	32%
RMB mn	2022	2023	2024	2025	2026E	2027E	2028E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	21,899	22,528	26,832	30,348	32,826	36,264	39,268	7,003	7,338	7,685	8,321	7,472	7,870	8,223	9,261
%yoy	13%	3%	19%	13%	8%	10%	8%	24%	20%	5%	8%	7%	7%	7%	11%
1. Mobile games	5,021	4,021	5,610	6,395	6,106	6,732	7,069	1,731	1,612	1,511	1,540	1,523	1,419	1,413	1,752
%yoy	-1%	-20%	40%	14%	-5%	10%	5%	76%	60%	-17%	-14%	-12%	-12%	-6%	14%
2. Live broadcasting and VAS	8,715	9,910	10,999	11,928	12,174	12,771	13,249	2,807	2,837	3,023	3,262	2,912	2,885	3,074	3,303
%yoy	26%	14%	11%	8%	2%	5%	4%	11%	11%	7%	6%	4%	2%	2%	1%
3. Advertising	5,066	6,412	8,189	10,058	12,580	14,795	16,984	1,998	2,449	2,570	3,042	2,589	3,127	3,151	3,713
%yoy	12%	27%	28%	23%	25%	18%	15%	20%	20%	23%	27%	30%	28%	23%	22%
4. Others	3,096	2,185	2,033	1,966	1,966	1,966	1,966	467	440	582	477	448	439	586	492
%yoy	9%	-29%	-7%	-3%	0%	0%	0%	-4%	-15%	3%	3%	-4%	0%	1%	3%
GP (GAAP)	3,849	5,442	8,774	11,114	12,369	14,180	16,159	2,539	2,676	2,818	3,081	2,773	2,932	3,102	3,562
Gross Margin	18%	24%	33%	37%	38%	39%	41%	36.3%	36.5%	36.7%	37.0%	37.1%	37.3%	37.7%	38.5%
Opex (GAAP)	(12,207)	(10,506)	(10,118)	(9,990)	(10,455)	(11,152)	(11,627)								
S&M	(4,921)	(3,916)	(4,402)	(4,394)	(4,374)	(4,692)	(4,858)	(1,167)	(1,048)	(1,051)	(1,128)	(1,153)	(1,062)	(1,069)	(1,090)
G&A	(2,521)	(2,122)	(2,031)	(2,062)	(2,092)	(2,166)	(2,230)	(516)	(510)	(509)	(528)	(533)	(519)	(493)	(547)
R&D	(4,765)	(4,467)	(3,685)	(3,533)	(3,988)	(4,294)	(4,538)	(841)	(866)	(905)	(921)	(921)	(984)	(987)	(1,096)
S&M as % Sales	22.5%	17.4%	16.4%	14.5%	13.3%	12.9%	12.4%	16.7%	14.3%	13.7%	13.6%	15.4%	13.5%	13.0%	11.8%
G&A as % Sales	11.5%	9.4%	7.6%	6.8%	6.4%	6.0%	5.7%	7.4%	6.9%	6.6%	6.3%	7.1%	6.6%	6.0%	5.9%
R&D as % Sales	21.8%	19.8%	13.7%	11.6%	12.1%	11.8%	11.6%	12.0%	11.8%	11.8%	11.1%	12.3%	12.5%	12.0%	11.8%
EBIT (non-GAAP)	(6,599)	(3,385)	(61)	2,442	3,054	4,224	5,763	342	573	688	838	524	641	841	1,048
%margin	-30.1%	-15.0%	-0.2%	8.0%	9.3%	11.6%	14.7%	4.9%	7.8%	9.0%	10.1%	7.0%	8.2%	10.2%	11.3%
%yoy					25%	38%	36%			153%	81%	53%	12%	22%	25%
Net Profit (non-GAAP)	(6,702)	(3,414)	(39)	2,588	3,138	4,359	5,624	362	561	786	878	585	705	890	958
%margin	-30.6%	-15.2%	-0.1%	8.5%	9.6%	12.0%	14.3%	5.2%	7.6%	10.2%	10.6%	7.8%	9.0%	10.8%	10.3%
%yoy					21%	39%	29%			233%	94%	62%	26%	13%	9%
EPS (non-GAAP)	(16.95)	(8.29)	(0.05)	5.84	6.80	9.17	11.48	0.85	1.29	1.73	1.92	1.31	1.53	1.93	2.06
%yoy					16%	35%	25%			206%	80%	54%	19%	12%	7%

Source: Company data, Goldman Sachs Global Investment Research

TME: 2Q26 one-time boost from Ximalaya deal, cost synergy the focus

We see the key debates into 2Q26 earnings as: 1) Soda competition and TME's subscriber/ARPU trends into 2H, and any early inflection points; 2) business synergies and the financial impact following the Ximalaya consolidation; and 3) AI music progress and potential disruption. With the stock being one of the worst-performing names (down 40%+) YTD in China's internet sector, we believe the current risk-reward is skewed to the upside, driven by: 1) an ex-cash/investments P/E of 5x and buybacks providing downside protection; and 2) TME's approach of targeting higher-value paying users and value-added services versus Soda's gradually slowing user growth in recent months. We remain Buy rated with a revised TP of **US$13.4/HK$52** (from US$15/HK$59 prior)**.**

Ximalaya consolidation: TME has consolidated Ximalaya since late May, and we anticipate more proactive business integration and potential synergies in content procurement, user acquisition cost savings, and diversified membership experiences. While Ximalaya is likely operating at a thin margin at present, we see significant room for improvement through favorable content cost synergies with TME, reductions in S&M and G&A expenses, and membership expansion.

Financial impact: Factoring in the Ximalaya merger, we expect a one-time boost to subscription and advertising revenue in 2Q/3Q26, as well as cost synergies over the next 1-2 years. Based on its last disclosed financials in 2023, Ximalaya's subscription and advertising business generated RMB4.6bn, equivalent to c.15% of TME's music services revenue.

Music Subs/ARPU trend:

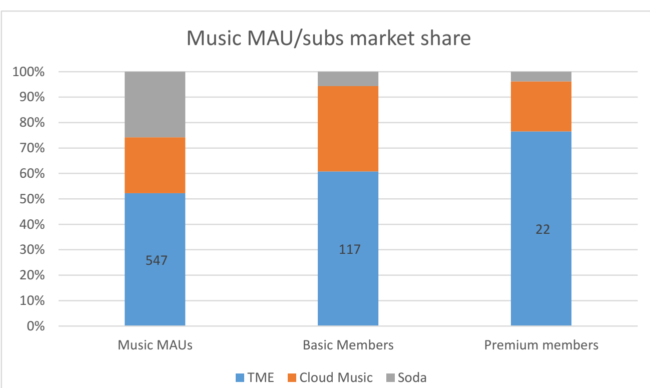
We expect the underlying music subscription trend (excluding the impact of Ximalaya) to remain muted in 2Q-3Q26, as TME is actively taking a dynamic approach to defend user share through membership promotions. As a result, ARPU growth will likely be sequentially slower, in our view. That said, TME has consistently targeted higher-paying users and offered value-added services catering to the fan economy. We estimate its premium membership (SVIP) market share exceeds 70%, versus an MAU share of around 50% in 2026, suggesting clear dominance among high-value users.

In addition, Soda Music has seen sequentially slower growth in DAU and MAU trends over the past two months, suggesting that its pace of market share gains may have moderated.

Shareholder returns: At the current share price, trading at below 10x 2026E P/E, or 5x excluding net cash and investments, we believe the company's refreshed shareholder return practice is also a key support for the stock. The company still has a US$1bn buyback program expiring in March 2027 (equivalent to 6-7% of market capitalization), and we expect a **significant increase in share buybacks** over the next 6-9 months.

For 2Q26, we now expect overall revenue growth of 8% YoY and operating profit growth of 6% YoY. The consolidation of Ximalaya will likely distort reported growth in music services and subscription revenue this quarter. Factoring in this, we now expect low- to mid-teens YoY music services revenue growth for the remainder of 2026. The EPS impact is likely to be limited in the near term, given that the company issued 5% new shares for the acquisition and Ximalaya's net margin is currently below 5%.

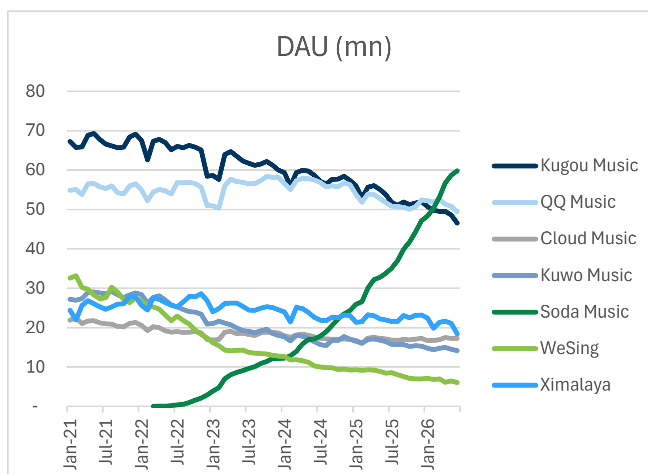
Exhibit 25: Online music: MAU and subscribers market share by platform



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 26: Soda Music has been ramping up at a fast clip with DAU reaching 60mn in Jun 2026 and exceeded QQ Music in Apr 2026, after surpassing Cloud Music in mid-2024...

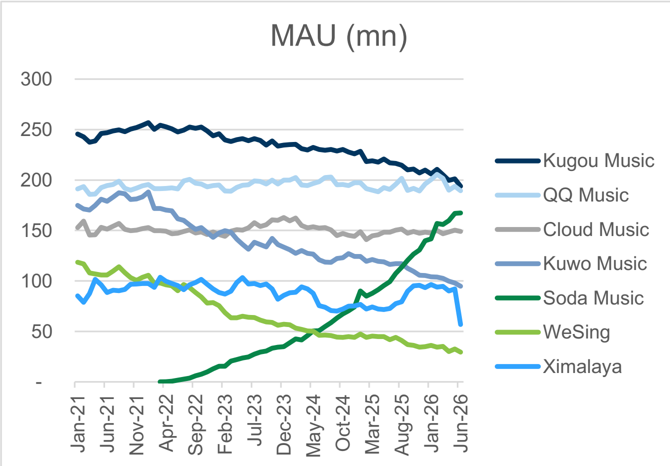
Online music: DAU (mn) trend across major music apps



Source: QuestMobile, Data compiled by Goldman Sachs Global Investment Research

Exhibit 27: ... and Soda Music's MAU has reached 167mn in Jun 2026, surpassing Cloud Music in Feb 2026

Online music: MAU (mn) trend across major music apps



Source: QuestMobile, Data compiled by Goldman Sachs Global Investment Research

Exhibit 28: TME: financial summary

TME Financials	2022	2023	2024	2025	2026E	2027E	2028E
Revenue	**28,339**	**27,752**	**28,401**	**32,902**	**36,373**	**40,026**	**42,798**
%yoy	-9.3%	-2.1%	2.3%	15.8%	10.5%	10.0%	6.9%
Online Music Services	**12,483**	**17,325**	**21,742**	**26,726**	**30,629**	**34,301**	**37,111**
%yoy	8.9%	38.8%	25.5%	22.9%	14.6%	12.0%	8.2%
a. Subscription	**8,700**	**12,095**	**15,230**	**17,907**	**19,634**	**21,136**	**21,812**
%yoy	18.7%	39.0%	25.9%	17.6%	9.6%	7.6%	3.2%
MAU	620	589	570	547	525	520	520
Music Paying subs	84.2	100.9	117.6	125.1	138.6	150.7	153.9
Net adds	15.6	16.7	16.8	7.5	13.5	12.1	3.3
paying ratio	13.6%	17.1%	20.6%	22.9%	26.4%	29.0%	29.6%
Music ARPPU/month (RMB)	8.6	10.0	10.8	11.9	11.8	11.7	11.8
% yoy	-3.2%	16.0%	8.0%	10.6%	-1.0%	-1.0%	1.0%
b. Other online music	**3,783**	**5,230**	**6,512**	**8,819**	**10,995**	**13,165**	**15,299**
%yoy	-8.6%	38.3%	24.5%	35.4%	24.7%	19.7%	16.2%
i. Sublicensing	668	801	965	1,163	1,337	1,538	1,768
ii. Merchandising (Digital album etc.)	1,163	1,237	1,327	1,483	1,705	1,995	2,334
iii. Advertising	1,712	2,615	3,386	4,075	5,054	5,812	6,277
iv. Live events / Others	240	577	833	2,098	2,899	3,821	4,920
c. Social entertainment	**15,856**	**10,427**	**6,659**	**6,176**	**5,744**	**5,725**	**5,687**
%yoy	-19.8%	-34.2%	-36.1%	-7.3%	-7.0%	-0.3%	-0.7%
MAU	157	126	91	82	82	81	81
Paying subs	7.8	7.6	7.9	7.1	7.1	7.1	7.1
paying ratio	5.0%	6.0%	8.7%	8.7%	8.7%	8.7%	8.7%
ARPPU/month	169.4	114.3	70.5	72.2	67.2	67.2	67.2
Cost of revenue	(19,566)	(17,957)	(16,376)	(18,367)	(19,853)	(21,730)	(23,141)
GP	**8,773**	**9,795**	**12,025**	**14,535**	**16,520**	**18,296**	**19,657**
%margin	31.0%	35.3%	42.3%	44.2%	45.4%	45.7%	45.9%
S&M	1,144	897	865	941	1,747	2,123	2,313
G&A	2,026	1,852	1,505	1,284	1,274	1,382	1,477
R&D	2,387	2,269	2,306	2,632	2,910	3,202	3,424
S&M as % Sales	4.0%	3.2%	3.0%	2.9%	4.8%	5.3%	5.4%
G&A as % Sales	7.2%	6.7%	5.3%	3.9%	3.5%	3.5%	3.5%
R&D as % Sales	8.4%	8.2%	8.1%	8.0%	8.0%	8.0%	8.0%
EBIT	**3,216**	**4,777**	**7,349**	**9,678**	**10,589**	**11,589**	**12,442**
%margin	11.3%	17.2%	25.9%	29.4%	29.1%	29.0%	29.1%
non-GAAP OP	**4,407**	**5,951**	**8,580**	**10,834**	**11,541**	**12,406**	**13,317**
%yoy	10.0%	35.0%	44.2%	26.3%	6.5%	7.5%	7.3%
%margin	15.6%	21.4%	30.2%	32.9%	31.7%	31.0%	31.1%
non-GAAP Net profit	**4,907**	**6,223**	**8,136**	**9,924**	**10,271**	**11,191**	**12,001**
%yoy	13.3%	26.8%	30.7%	22.0%	3.5%	9.0%	7.2%
%margin	17.3%	22.4%	28.6%	30.2%	28.2%	28.0%	28.0%
non-GAAP EPS	**2.94**	**3.74**	**4.91**	**6.20**	**6.18**	**6.77**	**7.29**
%yoy	18.8%	27.6%	31.0%	26.3%	-0.2%	9.5%	7.7%
non-GAAP Net profit to shareholders	**4,745**	**5,923**	**7,671**	**9,588**	**10,003**	**10,937**	**11,747**
%yoy	14.4%	24.8%	29.5%	25.0%	4.3%	9.3%	7.4%
%margin	16.7%	21.3%	27.0%	29.1%	27.5%	27.3%	27.4%

TME Financials	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Revenue	**7,356**	**8,442**	**8,463**	**8,641**	**7,895**	**9,101**	**9,626**	**9,751**
%yoy	8.7%	17.9%	20.6%	15.9%	7.3%	7.8%	13.7%	12.8%
Online Music Services	**5,804**	**6,854**	**6,969**	**7,099**	**6,514**	**7,656**	**8,177**	**8,282**
%yoy	15.9%	26.4%	27.2%	21.7%	12.2%	11.7%	17.3%	16.7%
a. Subscription	**4,284**	**4,434**	**4,564**	**4,625**	**4,570**	**4,756**	**5,122**	**5,186**
%yoy	18.3%	18.6%	18.9%	14.8%	6.7%	7.3%	12.2%	12.1%
MAU	555	553	551	528	533	531	523	512
Music Paying subs	122.9	124.4	125.7	127.4	128.6	134.4	145.4	145.9
Net adds	1.9	1.5	1.3	1.7	1.2	5.8	11.0	0.5
paying ratio	22.1%	22.5%	22.8%	24.1%	24.1%	25.3%	27.8%	28.5%
Music ARPPU/month (RMB)	11.6	11.9	12.1	12.1	11.8	11.8	11.7	11.9
% yoy	9%	12%	13%	9%	2%	-1%	-3%	-2%
b. Other online music	**1,520**	**2,420**	**2,405**	**2,474**	**1,944**	**2,900**	**3,056**	**3,096**
%yoy	9.6%	43.7%	46.6%	37.4%	27.9%	19.8%	27.1%	25.1%
i. Sublicensing	214	243	300	407	257	291	345	445
ii. Merchandising (Digital album etc.)	245	438	404	396	274	504	464	462
iii. Advertising	837	1,215	1,009	1,014	1,009	1,397	1,312	1,335
iv. Live events / Others	224	524	692	657	404	708	934	854
c. Social entertainment	**1,552**	**1,588**	**1,494**	**1,542**	**1,381**	**1,445**	**1,449**	**1,468**
%yoy	-12%	-9%	-3%	-5%	-11%	-9%	-3%	-5%
MAU	82	82	82	82	82	82	82	82
Paying subs	7.7	7.6	7.6	7.6	7.6	7.6	7.6	7.6
paying ratio	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%	9.3%
ARPPU/month	67.6	69.6	65.5	67.6	60.6	63.4	63.6	64.4
Cost of revenue	(4,114)	(4,693)	(4,781)	(4,779)	(4,349)	(5,075)	(5,212)	(5,217)
GP	**3,242**	**3,749**	**3,682**	**3,862**	**3,546**	**4,026**	**4,415**	**4,533**
%margin	44.1%	44.4%	43.5%	44.7%	44.9%	44.2%	45.9%	46.5%
S&M	199	216	260	266	271	270	563	643
G&A	356	265	374	290	308	273	385	307
R&D	588	675	677	691	632	728	770	780
S&M as % Sales	2.7%	2.6%	3.1%	3.1%	3.4%	3.0%	5.8%	6.6%
G&A as % Sales	4.8%	3.1%	4.4%	3.4%	3.9%	3.0%	4.0%	3.2%
R&D as % Sales	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
EBIT	**2,099**	**2,593**	**2,371**	**2,615**	**2,335**	**2,755**	**2,697**	**2,803**
%margin	28.5%	30.7%	28.0%	30.3%	29.6%	30.3%	28.0%	28.7%
non-GAAP OP	**2,365**	**2,827**	**2,693**	**2,949**	**2,585**	**2,992**	**2,946**	**3,018**
%yoy	19.3%	34.1%	31.4%	20.9%	9.3%	5.9%	9.4%	2.3%
%margin	32.2%	33.5%	31.8%	34.1%	32.7%	32.9%	30.6%	30.9%
non-GAAP Net profit	**2,226**	**2,640**	**2,477**	**2,581**	**2,333**	**2,679**	**2,602**	**2,657**
%yoy	22.8%	33.0%	27.7%	7.6%	4.8%	1.5%	5.1%	2.9%
%margin	30.3%	31.3%	29.3%	29.9%	29.6%	29.4%	27.0%	27.2%
non-GAAP EPS	**1.37**	**1.66**	**1.55**	**1.60**	**1.47**	**1.60**	**1.55**	**1.57**
%yoy	25.9%	39.4%	34.0%	9.5%	7.0%	-4.1%	-0.4%	-2.4%
non-GAAP Net profit to shareholders	**2,124**	**2,574**	**2,405**	**2,485**	**2,273**	**2,621**	**2,538**	**2,571**
%yoy	24.6%	37.4%	32.6%	9.0%	7.0%	1.8%	5.5%	3.5%
%margin	28.9%	30.5%	28.4%	28.8%	28.8%	28.8%	26.4%	26.4%

Source: Company data, Goldman Sachs Global Investment Research

Kuaishou: Risk to FY consensus on ads slowdown and AI investments, focus on Kling momentum into 2H26

Following Kuaishou's Kling AI's standalone financing (at US$18bn post money), we believe the market focus into this result season will center around: 1) the main platform's competition risk and refreshed FY guidance, given that ad slowdown and higher AI investment could weigh on profit; 2) Kling AI: the next model upgrade and ARR ramp-up into 2H, as well as its growth strategy following the recent US$3bn financing; and 3) capital allocation: AI capex and further investment plans for Kling, as Kuaishou has now dedicated all OCF to AI investments.

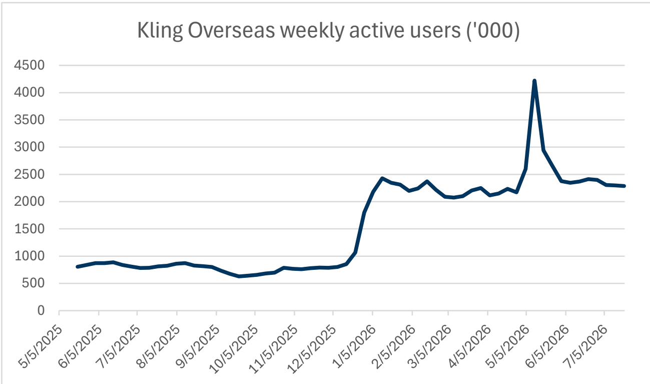
Risk to FY consensus: We see downside risk to the current market consensus of RMB16.7bn FY26 net profit, as well as the company's earlier guidance of RMB17bn. The overall slowdown in the macro environment and eCommerce sector into 2Q, together with the implementation of tighter tax policies for eCommerce merchants, are likely to impact Kuaishou's platform GMV take rate and eCommerce advertising growth. As we enter 2H26, comparisons are no longer becoming easier, and we now expect low-single-digit YoY ad growth.

Kling AI the key focus: With the fresh funding, we believe Kling AI will step up its R&D efforts and expand its team, aiming to maintain its position as a top-tier global AI video generation model. The next model upgrade (which we expect within the month) will likely at least benchmark against Seedance 2.0 and focus on multimodal inputs and understanding capabilities. During 2Q, we expect ARR to continue trending upward on a month-on-month basis from US$500mn at end-March, and the new model upgrade should help drive a further increase in ARR into 2H26.

For 2Q26, we expect flat total revenue and a 30% YoY decline in net profit. We forecast 5% core ad growth and a 26% decline in operating profit due to high investment in AI/Kling and an unfavorable gross margin mix. More importantly, the market will focus on FY26 guidance and 2H26 ad trends.

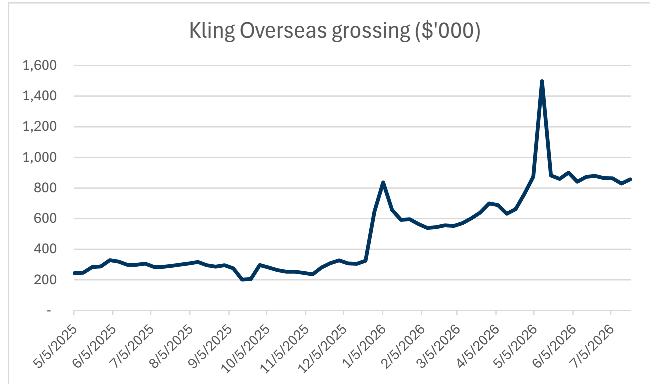
Valuation: Based on Kling AI's recent funding-implied valuation of US$18bn (or an effective valuation of US$12bn, considering Kuaishou's 68% stake), Kuaishou's current share price implies less than 5x P/E for the main platform while our TP for Kuaishou implies 9x FY26 P/E for its main platform. Alternatively, the market may apply a discount to the value of the Kling stake or a combined holdco discount when valuing Kuaishou at present.

Exhibit 29: Kling AI overseas weekly active users saw a strong surge in early-May due to video clips gaining popularity, and moderated to a stable level afterwards



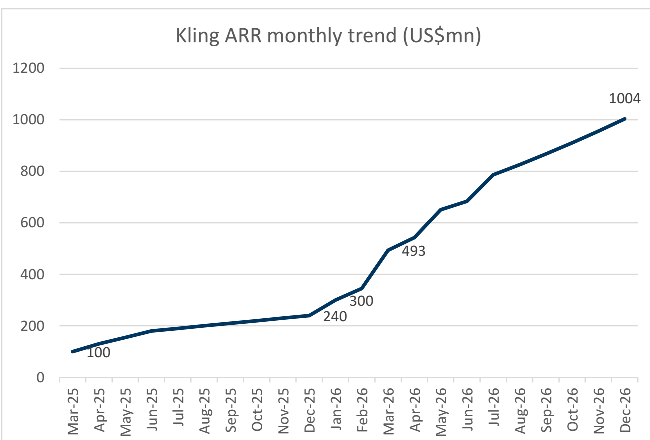
Source: SensorTower, Data compiled by Goldman Sachs Global Investment Research

Exhibit 30: Kling AI overseas weekly grossing demonstrated a notable upward trend with expanding user base in early May and moderated afterwards



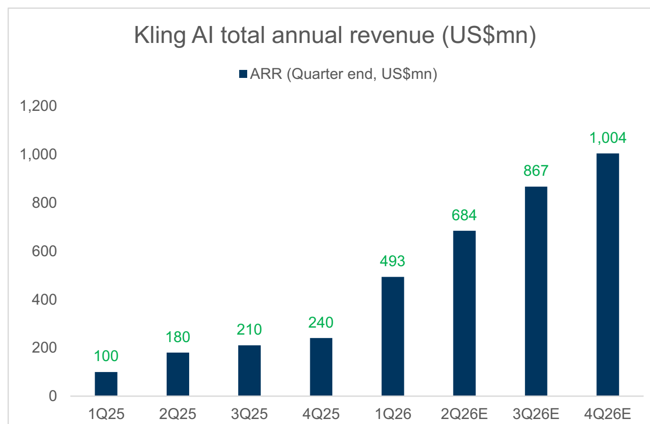
Source: SensorTower, Data compiled by Goldman Sachs Global Investment Research

Exhibit 31: Kling AI: We expect ARR monthly trend to continue ramping up in 2026E



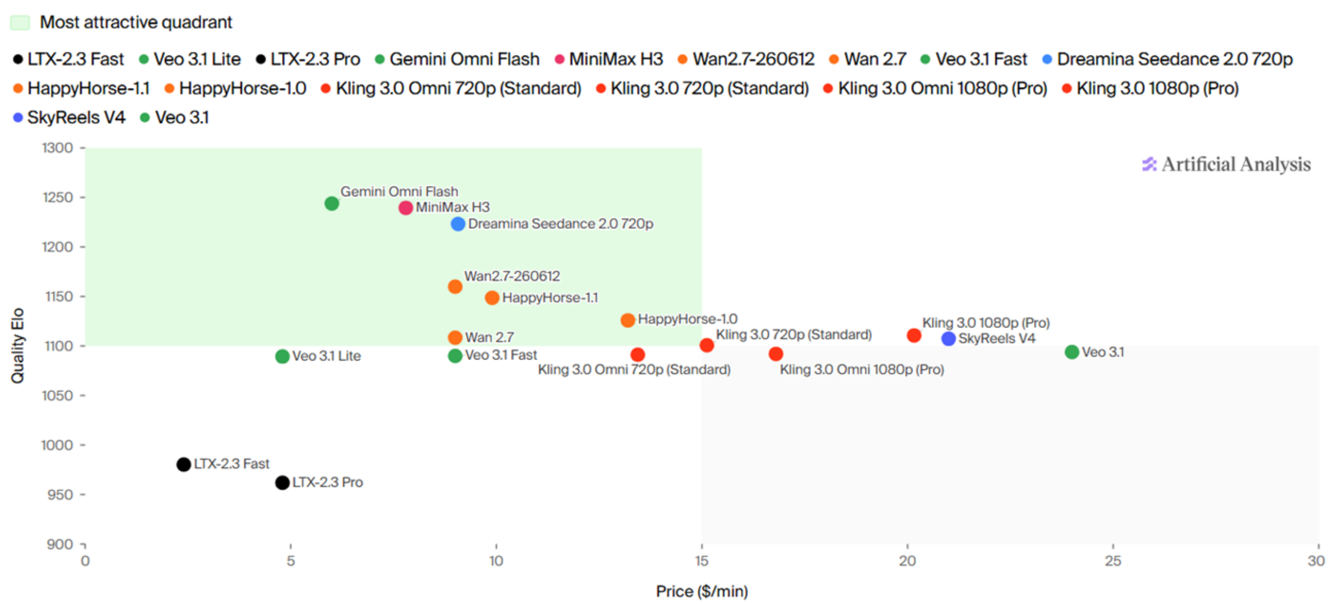
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 32: Kling AI: ARR trend by quarter-end



Source: Company data, Goldman Sachs Global Investment Research

Exhibit 33: Kling 3.0 is less cost effective vs. recently released models
Quality vs. price among major global AI video generation models



Source: Artificial Analysis

Exhibit 34: Our TP implies c. 9X 2026 PE for main platform and US$18bn valuation for Kling

Base case (Cross-check)			Valuation			
2026E (Rmb mn)	**Revenue**	**Net profit**	**Multiple**	**Rmb mn**	**US$mn**	**Comments**
Kuaishou Main platform	138,398	19,154	9X P/E	172,386	24,983	Similar to eCommerce peers
Kling AI (68% stake)	6,925	(3,197)	18X P/ARR	85,172	12,344	At US$18bn * 68% Kuaishou stake
Group total	**145,323**	**15,957**	**16.1**	**257,558**	**37,327**	
Implied value per share (HK$)				68		

Source: Goldman Sachs Global Investment Research

Exhibit 35: Kuaishou: financial summary

RMB mn	2021	2022	2023	2024	2025	2026E	2027E	2028E	25-28E	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26E	3Q26E	4Q26E
Average DAU (mn)	**308**	**356**	**380**	**399**	**410**	**417**	**423**	**428**	1%	**408**	**409**	**416**	**408**	**413**	**414**	**422**	**421**
%yoy	*16%*	*15%*	*7%*	*5%*	*3%*	*2%*	*1%*	*1%*		*4%*	*3%*	*2%*	*2%*	*1%*	*1%*	*1%*	*3%*
Avg daily time spent per DAU (min)	**112**	**129**	**125**	**127**	**130**	**130**	**131**	**131**	0%	**134**	**127**	**134**	**126**	**131**	**127**	**135**	**128**
%yoy	*28%*	*16%*	*-4%*	*2%*	*2%*	*0%*	*1%*	*0%*		*3%*	*4%*	*1%*	*0%*	*-2%*	*0%*	*0%*	*1%*
Total time spent (bn min)	**12,539**	**16,774**	**17,283**	**18,612**	**19,490**	**19,823**	**20,290**	**20,588**	2%	**4,913**	**4,718**	**5,135**	**4,726**	**4,867**	**4,785**	**5,227**	**4,943**
%yoy	*48%*	*34%*	*3%*	*8%*	*5%*	*2%*	*2%*	*1%*		*6%*	*8%*	*4%*	*2%*	*-1%*	*1%*	*2%*	*5%*
Revenue	81,082	94,183	113,470	126,898	142,776	145,323	153,204	164,296	5%	32,608	35,046	35,554	39,568	33,716	35,096	35,781	40,730
% yoy	**38%**	**16%**	**20%**	**12%**	**13%**	**2%**	**5%**	**7%**		**11%**	**13%**	**14%**	**12%**	**3%**	**0%**	**1%**	**3%**
1. Live Streaming	**30,995**	**35,388**	**39,054**	**37,061**	**39,087**	**35,168**	**34,927**	**34,637**	-3.9%	**9,814**	**10,044**	**9,574**	**9,655**	**8,492**	**8,602**	**8,677**	**9,397**
%yoy	*-7%*	*14%*	*10%*	*-5%*	*5%*	*-10%*	*-1%*	*-1%*		*14%*	*8%*	*3%*	*-2%*	*-13%*	*-14%*	*-9%*	*-3%*
2. Online Marketing Spend	**42,665**	**49,042**	**60,304**	**72,419**	**81,462**	**85,001**	**89,246**	**94,065**	5%	**17,977**	**19,765**	**20,102**	**23,618**	**19,643**	**20,838**	**20,645**	**23,875**
%yoy	*95%*	*15%*	*23%*	*20%*	*12%*	*4%*	*5%*	*5%*		*8%*	*13%*	*14%*	*15%*	*9%*	*5%*	*3%*	*1%*
a. E-commerce related ads	13,797	21,011	30,730	35,504	39,646	40,474	42,522	44,334	4%	8,906	9,536	9,395	11,809	9,608	10,030	9,182	11,654
%yoy	*192%*	*52%*	*46%*	*16%*	*12%*	*2%*	*5%*	*4%*		*7%*	*13%*	*15%*	*12%*	*8%*	*5%*	*-2%*	*-1%*
b. Non E-commerce ads	28,868	28,031	29,574	36,915	41,816	44,527	46,724	49,732	6%	9,071	10,229	10,707	11,809	10,035	10,808	11,463	12,221
%yoy	*69%*	*-3%*	*6%*	*25%*	*13%*	*6%*	*5%*	*6%*		*9%*	*13%*	*13%*	*17%*	*11%*	*6%*	*7%*	*3%*
3. Other Services	**7,421**	**9,753**	**14,112**	**17,418**	**22,227**	**25,154**	**29,030**	**35,594**	17%	**4,817**	**5,237**	**5,878**	**6,295**	**5,581**	**5,656**	**6,459**	**7,458**
%yoy	*100%*	*31%*	*45%*	*23%*	*28%*	*13%*	*15%*	*23%*		*15%*	*26%*	*41%*	*28%*	*16%*	*8%*	*10%*	*18%*
a. E-commerce commission	6,740	9,023	13,391	16,494	20,185	20,457	21,045	22,419	4%	4,520	4,612	5,314	5,740	4,713	4,624	5,190	5,931
%yoy	*102%*	*34%*	*48%*	*23%*	*22%*	*1%*	*3%*	*7%*		*14%*	*21%*	*35%*	*21%*	*4%*	*0%*	*-2%*	*3%*
E-commerce GMV (Rmb bn)	*680*	*901*	*1,184*	*1,390*	*1,598*	*1,686*	*1,809*	*1,928*		*332*	*359*	*385*	*522*	*363*	*377*	*399*	*547*
%yoy	*78%*	*33%*	*31%*	*17%*	*15%*	*6%*	*7%*	*7%*		*15%*	*18%*	*15%*	*13%*	*9%*	*5%*	*4%*	*5%*
b. Others (Kling, game, etc)	681	730	721	924	2,042	4,697	7,985	13,175	86%	297	625	564	555	868	1,032	1,270	1,527
%yoy - Others	*83%*	*7%*	*-1%*	*28%*	*121%*	*130%*	*70%*	*65%*		*43%*	*83%*	*161%*	*250%*	*192%*	*65%*	*125%*	*175%*
i). Kling AI					1,040	3,976	8,031	13,653		150	250	300	340	650	852	1,092	1,381
GP (GAAP)	34,030	42,131	57,391	69,292	78,549	74,891	80,224	87,784	4%	17,792	19,504	19,434	21,819	17,249	18,088	18,274	21,281
Gross Margin	**42.0%**	**44.7%**	**50.6%**	**54.6%**	**55.0%**	**51.5%**	**52.4%**	**53.4%**		**54.6%**	**55.7%**	**54.7%**	**55.1%**	**51.2%**	**51.5%**	**51.1%**	**52.2%**
Opex (non-GAAP)	55,676	49,366	49,229	54,168	57,756	59,282	61,395	65,855	4%	14,551	15,426	15,327	17,066	15,186	15,852	15,379	17,944
S&M	43,533	36,612	36,205	40,913	42,014	41,311	41,898	44,497	2%	9,848	10,445	10,367	11,354	10,290	10,095	10,030	10,897
Admin	2,315	3,116	3,054	2,614	3,003	2,981	3,122	3,333	4%	750	805	604	844	697	807	644	832
R&D	9,829	9,639	9,970	10,641	12,740	14,990	16,376	18,024	12%	2,897	2,925	3,218	3,699	3,267	3,478	3,455	4,790
S&M as % Sales	*53.7%*	*38.9%*	*31.9%*	*32.2%*	*29.4%*	*28.4%*	*27.3%*	*27.1%*		*30.2%*	*29.8%*	*29.2%*	*28.7%*	*30.5%*	*28.8%*	*28.0%*	*26.8%*
Admin as % Sales	*2.9%*	*3.3%*	*2.7%*	*2.1%*	*2.1%*	*2.1%*	*2.0%*	*2.0%*		*2.3%*	*2.3%*	*1.7%*	*2.1%*	*2.1%*	*2.3%*	*1.8%*	*2.0%*
R&D as % Sales	*12.1%*	*10.2%*	*8.8%*	*8.4%*	*8.9%*	*10.3%*	*10.7%*	*11.0%*		*8.9%*	*8.3%*	*9.1%*	*9.3%*	*9.7%*	*9.9%*	*9.7%*	*11.8%*
EBIT (non-IFRS)	(19,871)	(6,309)	10,001	17,636	23,277	18,998	22,181	25,315	3%	4,863	6,005	5,950	6,459	4,128	4,450	4,871	5,549
%yoy	*134%*	*-68%*	*NM*	*76%*	*32%*	*-18%*	*17%*	*14%*		*13%*	*30%*	*56%*	*32%*	*-15%*	*-26%*	*-18%*	*-14%*
%margin	***-24.5%***	***-6.7%***	***8.8%***	***13.9%***	***16.3%***	***13.1%***	***14.5%***	***15.4%***		***14.9%***	***17.1%***	***16.7%***	***16.3%***	***12.2%***	***12.7%***	***13.6%***	***13.6%***
Net profit (non-IFRS)	(18,852)	(5,751)	10,271	17,716	20,647	15,957	18,410	21,362	1%	4,580	5,618	4,986	5,463	3,374	3,881	4,071	4,631
%yoy	*140%*	*-69%*	*NM*	*72%*	*17%*	*-23%*	*15%*	*16%*		*4%*	*20%*	*26%*	*16%*	*-26%*	*-31%*	*-18%*	*-15%*
%margin	**-23.3%**	**-6.1%**	**9.1%**	**14.0%**	**14.5%**	**11.0%**	**12.0%**	**13.0%**		**14.0%**	**16.0%**	**14.0%**	**13.8%**	**10.0%**	**11.1%**	**11.4%**	**11.4%**

Source: Company data, Goldman Sachs Global Investment Research

Financial/Valuation

TME: We raise our 2026E-28E sales forecast by 2%~4% to reflect incremental contribution from Ximalaya, and lift up our 2026E-28E net profit forecasts by 1%~2% accordingly. We lower our 2026E target P/E multiple for its China music business to 13X (from 14X prior, given multiple contraction in the internet sector). Together with with our latest SOTP values for investments, our 12m TPs for TME move to **US$13.4/HK$52** (vs. US$15/HK$59 prior).

Exhibit 36: TME: key changes to GSe

TME Rmb mn	New 2026E	% Diff.	New 2027E	% Diff.	New 2028E	% Diff.
Total revenues	36,373	3.6%	40,026	4.1%	42,798	2.3%
Adj. net profit	10,003	1.0%	10,937	2.2%	11,747	2.4%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 37: TME: SOTP valuation

Main methodology		P/E 2026E	Valuation US$ mn	Valuation $/sh	Comments
China Music		13x	18,846	11.7	in line with Internet avg.
Investment	US$mn	Ownership			
Spotify	128,700	2.5%	3,218	2.0	GS TP of Spotify
Universal Music	38,525	1%	385	0.2	GS TP of UMG
SM Entertainment	2,208	10%	220	0.1	Mkt cap of SM Entertainment
Discounts		5%	(1,133)	(0.7)	SOTP discounts
TOTAL (TP $US)		14.9x	21,535	13.4	
TOTAL (TP $HK)				52.0	

Source: Company data, Goldman Sachs Global Investment Research

XD: We lower our 2026E-28E revenue estimates by -4%~-5% on slower-than-expected advertising growth and weaker legacy games, and cut our 2026E-28E net profit estimates by -10%~-11% on higher tax rate. We keep our target P/E multiple for the Games segment at an unchanged 15X but lower our target P/E multiple for the Information services segment to 20X (from prior 23X 2026E P/E) on slower advertising growth. Our new 12m SOTP-based TP is **HK$66.8** (vs. prior HK$78), implying a 17X 2026E P/E as a group.

Exhibit 38: XD: key titles timespent monthly yoy % and mom % trend

XD 心动- domestic	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26
Timespent yoy %												
Timespent yoy % - by titles												
GoGo Muffin	-92%	-89%	-89%	-87%	-87%	-87%	-86%	-83%	-84%	-84%	-83%	-78%
Heartopia	-51%	-85%	-79%	-68%	-45%	-35%	-39%	1%	-10%	-48%	-33%	-41%
Torchlight: Infinite	19%	85%	28%	226%	-13%	-33%	24%	55%	37%	31%	8%	-14%
Sausage Man	-36%	-42%	-48%	-27%	-31%	-29%	-68%	-39%	-49%	-60%	-49%	-64%
Timespent mom % / qoq %												
Timespent mom % / qoq % - by titles												
GoGo Muffin	-26%	5%	-23%	-8%	-21%	-12%	-16%	-12%	6%	-21%	4%	-12%
Heartopia	107%	-7%	-48%	-9%	-4%	-4%	-1%	45%	-31%	-20%	13%	-21%
Etheria: Restart				218%	-70%	-37%	-29%	-25%	-16%	-27%	-18%	28%
Torchlight: Infinite	160%	-6%	-68%	428%	-38%	-68%	328%	-24%	-49%	170%	-14%	-73%
Sausage Man	123%	-4%	-73%	33%	-32%	8%	1%	50%	-51%	-31%	18%	2%

XD 心动- domestic	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26
Timespent yoy %						
Timespent yoy % - by titles						
GoGo Muffin		-84%	-90%	-87%	-85%	-82%
Heartopia			-77%	-54%	-18%	-41%
Torchlight: Infinite	29%	51%	42%	38%	36%	14%
Sausage Man	-59%	-48%	-40%	-29%	-54%	-59%
Timespent mom % / qoq %						
Timespent mom % / qoq % - by titles						
GoGo Muffin	-44%	-33%	-46%	-35%	-33%	-22%
Heartopia	-39%	-2%	48%	-48%	9%	-30%
Etheria: Restart				309%	-78%	-44%
Torchlight: Infinite	2%	22%	-13%	28%	0%	2%
Sausage Man	54%	-40%	104%	-62%	0%	-47%

Source: QuestMobile, Data compiled by Goldman Sachs Global Investment Research

Exhibit 39: XD: key changes to GSe

XD Rmb mn	New 2026E	% Diff.	New 2027E	% Diff.	New 2028E	% Diff.
Period avg. MAU	46	0%	48	0%	49	0%
Total revenue	6,810	-4%	7,547	-5%	8,015	-5%
Net profit to shareholders	1,771	-10%	1,970	-11%	2,126	-11%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 40: XD: SOTP valuation

SOTP valuation	Sales	NP	PE(X)	PS (X)	Value
Games (based on 2026E)	4,750	1,071	15x	3.4x	16,058
Information services (2026E)	2,060	700	20x	6.8x	14,008
Total (RMB mn)	6,810	1,771	17x	4.4x	30,066
Total (HK$ mn)					33,988
Share outstanding					508
12-m target price (HK$)					**66.8**

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 41: XD: financial summary

RMB mn	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	1H23	2H23	1H24	2H24	1H25	2H25	1H26E	2H26E
Revenue	2,848	2,703	3,431	3,389	5,012	5,764	6,810	7,547	8,015	1,753	1,636	2,221	2,792	3,082	2,682	3,476	3,335
% yoy	0%	-5%	27%	-1%	48%	15%	18%	11%	6%	10%	-11%	27%	71%	39%	-4%	13%	24%
1. Online Games	2,332	2,011	2,453	2,092	3,434	3,796	4,750	5,195	5,408	1,150	942	1,486	1,948	2,071	1,725	2,464	2,287
%yoy	-2%	-14%	22%	-15%	64%	11%	25%	9%	4%	2%	-29%	29%	107%	39%	-11%	19%	33%
Online games free to play	2,148	1,784	2,311	1,961	3,317	3,596	4,454	4,803	4,983	1,080	881	1,426	1,891	1,982	1,614	2,347	2,107
a. Domestic	937	856	1,427	1,314	2,066	2,195	1,931	2,028	2,069	727	587	831	1,235	1,295	900	1,036	895
%yoy	11%	-9%	67%	-8%	57%	6%	-12%	5%	2%	15%	-26%	14%	110%	56%	-27%	-20%	0%
b. International	1,211	928	884	648	1,251	1,402	2,523	2,775	2,914	354	294	595	656	687	715	1,311	1,212
%yoy	-18%	-23%	-5%	-27%	93%	12%	80%	10%	5%	-14%	-38%	68%	123%	15%	9%	91%	70%
2. Information service	516	692	978	1,297	1,578	1,968	2,060	2,351	2,607	603	694	734	844	1,011	957	1,012	1,048
%yoy	12%	34%	41%	33%	22%	25%	5%	14%	11%	29%	36%	22%	22%	38%	13%	0%	10%
COGS	1,316	1,477	1,596	1,321	1,534	1,509	1,709	1,825	1,908	716	605	724	810	829	680	881	829
Online Games	1,241	1,284	1,338	1,116	1,286	1,237	1,425	1,511	1,573	606	509	595	690	664	573	739	686
Information service	75	193	257	205	248	272	285	313	334	109	96	128	119	165	107	142	143
GP	1,532	1,226	1,835	2,068	3,479	4,255	5,101	5,722	6,108	1,037	1,031	1,497	1,982	2,253	2,002	2,595	2,506
Online Games	1,091	727	1,114	976	2,148	2,559	3,326	3,684	3,835	544	433	891	1,258	1,407	1,151	1,724	1,601
Information service	441	499	721	1,092	1,330	1,696	1,775	2,038	2,273	494	598	606	724	845	850	870	905
Gross Margin	53.8%	45.4%	53.5%	61.0%	69.4%	73.8%	74.9%	75.8%	76.2%	59.2%	63.0%	67.4%	71.0%	73.1%	74.6%	74.7%	75.2%
yoy chg (ppts)	-8.6%	-8.4%	8.1%	7.5%	8.4%	4.4%	1.1%	0.9%	0.4%	10.1%	5.7%	8.2%	8.0%	5.7%	3.7%	1.6%	0.5%
Online Games	46.8%	36.2%	45.4%	46.7%	62.6%	67.4%	70.0%	70.9%	70.9%	47.3%	45.9%	59.9%	64.6%	68.0%	66.8%	70.0%	70.0%
Information service	85.5%	72.1%	73.7%	84.2%	84.3%	86.2%	86.2%	86.7%	87.2%	81.9%	86.2%	82.5%	85.9%	83.6%	88.9%	86.0%	86.3%
Opex	1,471	2,257	2,440	2,106	2,584	2,630	3,030	3,373	3,558	960	1,146	1,253	1,330	1,419	1,211	1,584	1,446
S&M	633	780	923	865	1,397	1,436	1,574	1,722	1,804	330	535	695	702	744	692	799	775
R&D	658	1,242	1,284	1,016	919	981	1,160	1,285	1,365	528	488	419	500	549	433	632	528
G&A	180	235	234	225	267	213	296	366	389	102	123	138	129	126	87	153	143
S&M as % Sales	22.2%	28.9%	26.9%	25.5%	27.9%	24.9%	23.1%	22.8%	22.5%	18.8%	32.7%	31.3%	25.1%	24.1%	25.8%	23.0%	23.2%
R&D as % Sales	23.1%	46.0%	37.4%	30.0%	18.3%	17.0%	17.0%	17.0%	17.0%	30.1%	29.8%	18.9%	17.9%	17.8%	16.1%	18.2%	15.8%
G&A as % Sales	6.3%	8.7%	6.8%	6.6%	5.3%	3.7%	4.3%	4.8%	4.8%	5.8%	7.5%	6.2%	4.6%	4.1%	3.2%	4.4%	4.3%
EBIT (GS definition)	61	(1,031)	(605)	(37)	895	1,625	2,071	2,349	2,550	77	(114)	244	651	834	791	1,011	1,060
%yoy	-88%	-1785%	-41%	-94%	-2510%	82%	27%	13%	9%	-120%	-49%	215%	-669%	242%	21%	21%	34%
%margin	2.1%	-38.1%	-17.6%	-1.1%	17.9%	28.2%	30.4%	31.1%	31.8%	4.4%	-7.0%	11.0%	23.3%	27.1%	29.5%	29.1%	31.8%
Net income (loss) to shareholders of th	9	(864)	(553)	(83)	812	1,535	1,771	1,970	2,126	90	(173)	205	606	755	780	827	944
%yoy	-97%	-9546%	-36%	-85%	-1077%	89%	15%	11%	8%			127%	-450%	268%	29%	10%	21%
%margin	0.3%	-32.0%	-16.1%	-2.5%	16.2%	26.6%	26.0%	26.1%	26.5%	5.1%	-10.6%	9.2%	21.7%	24.5%	29.1%	23.8%	28.3%
EPS (Rmb)	0.02	(1.86)	(1.17)	(0.18)	1.71	3.19	3.61	3.94	4.17	0.19	(0.37)	0.43	1.27	1.57	1.62	1.69	1.92

Source: Company data, Goldman Sachs Global Investment Research

Perfect World: We revise down our 2026E revenue/net profit estimates by -2%/-11% to reflect its preliminary 2Q26 results, yet raise our 2027-28E revenue estimates by 3%~4% to factor in contribution from its recently-released title NTE. We keep our 2027-28E net profit estimates largely unchanged considering elevated S&M expenses. We lower our 12-month target price to **Rmb14** (vs. prior Rmb16.4) as we lower our target P/E multiple to 18X avg. 2026E-27E P/E (vs. prior avg. 2026E-27E P/E of 20x) given the multiple contraction in the internet sector.

Exhibit 42: Perfect World: key changes to GSe

Pefect World	New		New		New	
Rmb mn	2026E	% Diff.	2027E	% Diff.	2028E	% Diff.
Total revenues	8,246	-2%	8,339	3%	8,854	4%
Net income (loss) to shareholders	1,319	-11%	1,702	0%	1,887	0%

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 43: Perfect World: valuation

Target P/E valuation	2024	2025	2026E	2027E	avg. 2026-27E
Net profit	(1,288)	731	1,319	1,702	1,511
PE (X)			18.0x	18.0x	18.0x
Equity value (RMB mn)			23,751	30,644	27,198
Implied value per share (Rmb)					**14.0**

Source: Company data, Goldman Sachs Global Investment Research

G-bits: We raise our 2026E revenue and net profit estimates by 2% to reflect its preliminary 2Q26 results, and keep our 2027-28E revenue estimates largely unchanged. We fine-tune our 2027-28E net profit estimates by 0%~1% on the back of its well-managed S&M expenses. In light of above, we revise our 12m TP to **Rmb365** (from Rmb362), as we roll over to avg. 2026E-27E P/E of 14x (vs. prior 2026E P/E of 14x).

Exhibit 44: G-bits: key changes to GSe

G-bits Rmb mn	New 2026E	% Diff.	New 2027E	% Diff.	New 2028E	% Diff.
Total revenues	6,570	2%	6,663	0%	6,959	0%
Net income (loss) to shareholde	1,894	2%	1,860	0%	1,938	1%

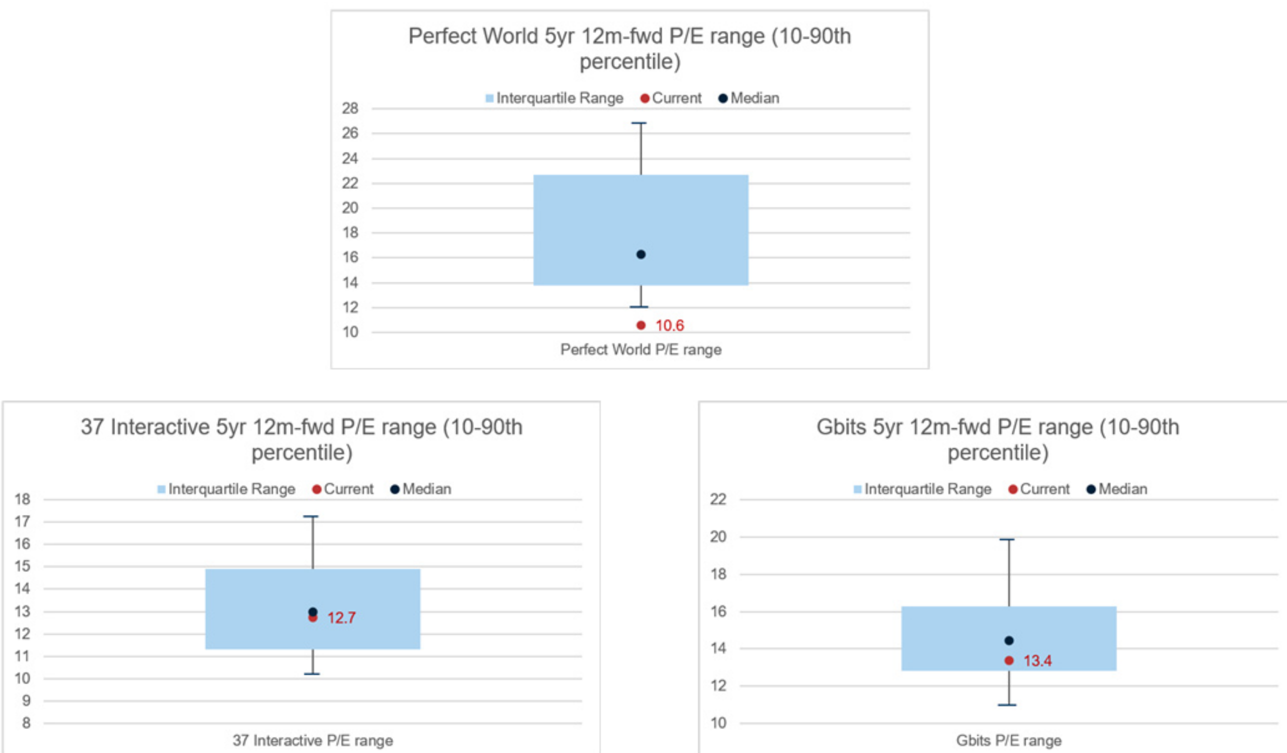
Source: Company data, Goldman Sachs Global Investment Research

Exhibit 45: G-bits: valuation

Target P/E valuation	2023	2024	2025	2026E	2027E	Avg. 2026-27E
Net profit	1,125	945	1,794	1,894	1,860	1,877
PE (X)			14.0x	14.0x	14.0x	14.0x
Equity value (RMB mn)			25,111	26,513	26,037	26,275
Implied value per share (Rmb)						**365**
Implied value per share (2026E, Rmb)						**365**

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 46: 12m-fwd P/E range (10th - 90th percentile) for key A-share gaming stocks



Source: Bloomberg, Data compiled by Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Damai Entertainment Holdings

Our 12m SOTP-based target price for Damai Entertainment is **HK$0.82**, derived from a 15X FY27E P/E for the Damai segment, 15X FY27E P/E for the IP merchandising segment and 8X P/E for the Film and Drama segment with 5% net margin assumption. We have a

Buy rating. **Key downside risks** include: **1)** Lower-than-expected growth on live entertainment ticketing: supply constraints especially for music concerts due to capacity of quality stadiums and intense competition; **2)** Weaker than expected IP merchandising growth and adjustment of IP licensing contracts from key IP owners; **3)** Execution and operational risk in the movie business.

Price Target Risks and Methodology – 37 Interactive Entertainment
Valuation methodology: We are **Sell** rated on 37 Interactive Entertainment and derive our 12-month target price of **Rmb18.9** based on 14X 2026E P/E.

Key risks: 1) Better-than-expected longevity of *Last Asylum: Plague*, *Survival 33 Days* and *Z Route: Redemption*; and More-than-anticipated blockbuster titles to be released; **2)** Higher-than-expected net profit on cost discipline and S&M reduction; **3)** Re-rating of multiples across the online game sector; **4)** More favorable dividend or other shareholder return policy.

Price Target Risks and Methodology – G-Bits
Valuation methodology: We are **Sell**-rated on G-Bits and derive our 12-month target price of **Rmb365** based on avg. 2026E-27E P/E of 14x.

Key upside risks: 1) Better-than-expected performances of new games; 2) successful penetration into overseas markets; and 3) rerating of multiples across the online game sector.

Price Target Risks and Methodology – Perfect World
Valuation methodology: We are **Neutral**-rated on Perfect World and derive our 12-month target price of **Rmb14** based on 18X avg. 2026E-27E P/E.

Key risks: 1) Stronger/Weaker-than-expected performance of Neverness to Everness; 2) Execution in extending legacy game life cycle; 3) Penetration into other non-MMORPG genre and; 4) Multiple expansion/contraction across the online game sector.

Price Target Risks and Methodology – iQIYI Inc.
Valuation methodology: We are **Neutral** rated on iQIYI with a 12-month P/E-based target price of **US$1.6** based on a 12x 2027E P/E multiple.

Key upside/downside risks: 1) Softened/Intensified competition/execution risk; 2) Better/Weaker ROI on content cost; 3) Regulatory risks; and 4) Better ability/Inability to retain and attract new advertisers.

Price Target Risks and Methodology – Kuaishou Technology
Valuation methodology: We are Buy rated on Kuaishou with a 12m target price of **HK$68**, based on P/E valuation (target P/E multiple of 15X applied to our avg. 2026E-27E EPS).

Key downside risks: 1) Slower-than-expected ad budget recovery; 2) Weaker-than-expected Kling monetization; 3) Slower-than-expected growth of its aggregate user engagement base (DAU x time spent per DAU); 4) Lower-than-expected profitability; 5) Weaker-than-expected AI progress.

Price Target Risks and Methodology – Bilibili, Inc.
Valuation methodology: We are **Buy** rated on Bilibili (BILI/9626.HK) with 12-month DCF-based target prices of **US$28.9/HK$226** (WACC at 12.5%, terminal growth rate at 3%).

Key downside risks: 1) Ads slowdown on macro and/or slower-than-expected monetization execution; 2) Weaker-than-expected game grossing and sustainability; 3) Losses if content costs/revenue sharing do not fall as a percentage of revenue.

Price Target Risks and Methodology – XD Inc.
Valuation methodology: We are **Neutral**-rated on XD with a 12-month SOTP-based target price of **HK$66.8**. Our TP is derived from 15X 2026E P/E for the Games segment and 20X 2026E P/E for the Information services segment.

Key risks: 1) Stronger/Weaker-than-expected performance of legacy titles and Heartopia's overseas grossing; **2)** Faster/Slower-than-expected monetization progress of TapTap; **3)** Better/Worse balance between revenue growth and OPEX in the longer term, especially R&D and S&M expenses, which may lead to a higher/lower margin.

Price Target Risks and Methodology – Tencent Music Entertainment Group
Valuation methodology: We are Buy rated on TME (ADR/H-share). Our 12m TPs of **US$13.4/HK$52** are based on a SOTP methodology with a 13x target 2026E P/E for China Music and investment values on minority stakes of Spotify (valued at GS TP)/UMG (market cap-based)/SM Entertainment (GS TP).

Key downside risks: 1) Inability to sustain its dominant market position and increase subscription/ARPU on worse competitive landscape and AI disruption; 2) Higher-than-expected content pricing by label companies; 3) Slower-than-expected expansion of non-subscription online music services; and 4) Wider-than-expected yoy drop of social entertainment business.

Price Target Risks and Methodology – NetEase Inc.

Valuation methodology: We are Buy rated on NetEase (NTES/9999.HK), with 12-month SOTP-based target prices of **US$167/HK$262**.

Key downside risks: 1) Weaker performance of legacy games; 2) slower-than-expected monetization ramp-up of new games; 3) more intensive competition in games, e-commerce, education and other business areas; 4) rising content costs associated with music and advertising expenses related to the online education business.

Price Target Risks and Methodology – Tencent Holdings
Valuation methodology: We are Buy rated on Tencent (0700.HK), with a 12-m

SOTP-based TP of **HK$700**.

Key risks: Below-expected progress in AI initiatives; Higher-than-expected AI-related investment; More intense industry competition in performance-based advertising; Unexpected delays in game launches/Banhao approvals; Moderated growth in FinTech and Cloud businesses; Slower-than-expected AI development progress; Reinvestment risk.

Disclosure Appendix

Reg AC

We, Lincoln Kong, CFA, Ronald Keung, CFA, Luqing Zhou and Damian Xie, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

Contributing Authors: Lincoln Kong, CFA Goldman Sachs (Asia) L.L.C., Ronald Keung, CFA Goldman Sachs (Asia) L.L.C., Luqing Zhou Goldman Sachs (Asia) L.L.C., Damian Xie Goldman Sachs (Asia) L.L.C..

Unless otherwise stated, the individuals listed in the Contributing Authors disclosure of this report are analysts in Goldman Sachs' Global Investment Research division.

GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Tencent Holdings is/are relative to the other companies in its/their coverage universe: Alibaba Group (ADR), Alibaba Group (H), DiDi Global Inc., Full Truck Alliance Co., J&T Global Express Ltd., JD Logistics, JD.com Inc. (ADR), JD.com Inc. (H), Jingdong Industrials Inc., KLN Logistics Group, Meituan, MiniMax Group, PDD Holdings, S.F. Holding (A), S.F. Holding (H), STO Express, Sinotrans Ltd. (A), Sinotrans Ltd. (H), Tencent Holdings, Vipshop Holdings, YTO Express Group, Yunda Holding, Z.AI Co., ZTO Express (Cayman) Inc. (ADR), ZTO Express (Cayman) Inc. (H)

The rating(s) for 37 Interactive Entertainment, Bilibili Inc. (ADR), Bilibili Inc. (H), Damai Entertainment Holdings, G-Bits, Kuaishou Technology, NetEase Inc. (ADR), NetEase Inc. (H), Perfect World, Tencent Music Entertainment Group (ADR), Tencent Music Entertainment Group (H), XD Inc. and iQIYI Inc. is/are relative to the other companies in its/their coverage universe: 37 Interactive Entertainment, Alibaba Health, Bilibili Inc. (ADR), Bilibili Inc. (H), Damai Entertainment Holdings, Focus Media Information Tech, G-Bits, JD Health International, Kuaishou Technology, Mango Excellent Media, NetEase Inc. (ADR), NetEase Inc. (H), Perfect World, Tencent Music Entertainment Group (ADR), Tencent Music Entertainment Group (H), XD Inc., Zhihu Inc. (ADR), Zhihu Inc. (H), iQIYI Inc.

Company-specific regulatory disclosures

Compendium report: please see disclosures at https://www.gs.com/research/hedge.html. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	59%	43%

As of July 1, 2026, Goldman Sachs Global Investment Research had investment ratings on 3,104 equity securities. Goldman Sachs assigns stocks as Buys and Sells on various regional Investment Lists; stocks not so assigned are deemed Neutral. Such assignments equate to Buy, Hold and Sell for the purposes of the above disclosure required by the FINRA Rules. See 'Ratings, Coverage universe and related definitions' below. The Investment Banking Relationships chart reflects the percentage of subject companies within each rating category for whom Goldman Sachs has provided investment banking services within the previous twelve months.

Price target and rating history chart(s)

Compendium report: please see disclosures at https://www.gs.com/research/hedge.html. Disclosures applicable to the companies included in this compendium can be found in the latest relevant published research

Target price history table(s)

G-Bits (603444.SS)

Date of report	Target price (Rmb)	Closing price (Rmb)
29-Apr-26	362.00	415.60
14-Feb-26	347.00	434.67
10-Nov-25	348.00	455.13
14-May-25	194.00	240.44
19-Jan-25	196.00	207.61
25-Sep-24	224.00	200.84
16-Apr-24	206.00	170.02
17-Jan-24	240.00	203.76
24-Oct-23	431.00	328.60
16-Aug-23	496.00	410.03

iQIYI Inc. (IQ)

Date of report	Target price ($)	Closing price ($)
20-May-26	1.60	1.10
01-Mar-26	1.80	1.60
21-Aug-25	2.10	2.35
21-May-25	1.90	1.71
23-Apr-25	2.20	1.87
27-Feb-25	2.50	2.17
21-Nov-24	2.40	2.02
27-Aug-24	2.80	2.26
23-Jul-24	5.10	3.16
16-May-24	5.90	5.79
28-Feb-24	5.60	3.67
17-Jan-24	6.30	4.01
21-Nov-23	7.40	4.75
18-Oct-23	8.10	4.58
22-Aug-23	8.30	4.89
15-Aug-23	8.70	5.63

Tencent Holdings (0700.HK)

Date of report	Target price (HK$)	Closing price (HK$)
18-Mar-26	700.00	550.50
18-Jan-26	752.00	617.50
12-Oct-25	770.00	651.50
13-Aug-25	701.00	586.00
05-Aug-25	658.00	559.00
14-May-25	595.00	521.00
19-Mar-25	590.00	540.00
20-Jan-25	534.00	389.80
13-Nov-24	542.00	403.80
29-Sep-24	521.00	437.80
14-Aug-24	464.00	373.80
12-Jun-24	477.00	370.80
15-May-24	466.00	381.80
11-Apr-24	408.00	315.00
20-Mar-24	413.00	288.80
15-Jan-24	426.00	289.40
15-Nov-23	435.00	322.60
11-Oct-23	423.00	311.00
16-Aug-23	431.00	328.80
07-Aug-23	428.00	341.20

Bilibili Inc. (H) (9626.HK)

Date of report	Target price (HK$)	Closing price (HK$)
19-May-26	226.00	156.10
09-Mar-26	252.00	197.60
18-Jan-26	266.00	260.00
16-Nov-25	240.00	209.00
29-Sep-25	234.00	210.60
25-Aug-25	205.00	186.70
25-May-25	183.00	146.40
20-Feb-25	185.00	154.80
19-Jan-25	172.00	134.60
17-Nov-24	180.00	146.10
25-Sep-24	176.00	136.50
10-Jul-24	129.00	130.50
23-May-24	115.00	119.80
21-Apr-24	107.00	85.25
07-Mar-24	105.00	85.65
29-Nov-23	121.00	101.00
11-Oct-23	136.00	111.80
17-Aug-23	153.00	124.00

NetEase Inc. (ADR) (NTES)

Date of report	Target price ($)	Closing price ($)
28-Jun-26	169.00	123.71
21-May-26	166.00	114.34
21-Apr-26	160.00	114.81
11-Feb-26	164.00	118.50
03-Feb-26	169.00	128.36
18-Jan-26	170.00	137.97
20-Nov-25	160.00	133.95
14-Sep-25	161.00	152.80
14-Aug-25	145.00	129.67
08-Jul-25	144.00	133.28
15-May-25	140.00	122.76
29-Apr-25	123.00	106.36

Tencent Music Entertainment Group (H) (1698.HK)

Date of report	Target price (HK$)	Closing price (HK$)
12-May-26	59.00	36.16
17-Mar-26	69.00	57.20
04-Mar-26	78.00	55.00
18-Jan-26	90.00	64.30
12-Nov-25	99.00	84.65
12-Aug-25	106.00	88.30
17-Jun-25	82.00	73.40
13-May-25	60.40	54.50
18-Mar-25	59.50	51.10
19-Jan-25	52.60	40.30
12-Nov-24	54.40	45.25
23-Oct-24	54.60	46.00

NetEase Inc. (ADR) (NTES)

Date of report	Target price ($)	Closing price ($)
23-Feb-25	122.00	103.22
09-Jan-25	116.00	92.28
14-Nov-24	109.00	84.22
23-Oct-24	106.00	80.05
25-Sep-24	113.00	86.89
22-Aug-24	115.00	82.25
12-Jun-24	125.00	92.92
23-May-24	127.00	94.74
16-Apr-24	129.00	90.42
02-Feb-24	134.00	98.83
16-Nov-23	132.00	112.35
24-Aug-23	128.00	98.59

Tencent Music Entertainment Group (H) (1698.HK)

Date of report	Target price (HK$)	Closing price (HK$)
13-Aug-24	55.10	53.50
13-May-24	62.30	54.85
20-Mar-24	54.30	44.40
17-Jan-24	43.80	33.60
14-Nov-23	33.80	28.20
15-Aug-23	33.30	24.05
08-Aug-23	34.20	24.00

Damai Entertainment Holdings (1060.HK)

Date of report	Target price (HK$)	Closing price (HK$)
03-Jun-26	0.82	0.60
04-May-26	0.92	0.58
25-Feb-26	1.07	0.83
18-Nov-25	1.17	0.86
19-Oct-25	1.30	0.93
11-Aug-25	1.38	1.17

Tencent Music Entertainment Group (ADR) (TME)

Date of report	Target price ($)	Closing price ($)
12-May-26	15.00	9.07
17-Mar-26	17.60	11.37
04-Mar-26	20.00	14.14
18-Jan-26	23.00	16.58
12-Nov-25	25.20	19.01
12-Aug-25	27.00	25.39
17-Jun-25	21.00	18.20
13-May-25	15.50	14.69
18-Mar-25	15.30	15.09
19-Jan-25	13.50	10.78
23-Oct-24	14.00	11.59
13-Aug-24	14.20	11.12
13-May-24	16.00	14.80
20-Mar-24	14.00	11.69
17-Jan-24	11.20	8.71
14-Nov-23	8.60	7.66
15-Aug-23	8.50	6.19
08-Aug-23	8.80	6.30

Perfect World (002624.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
11-May-26	16.40	16.82
14-Feb-26	14.50	21.42
03-Nov-25	13.50	17.88
14-May-25	11.80	13.46
21-Jan-25	7.30	10.44
25-Sep-24	8.10	8.24
12-Jun-24	9.40	8.60
28-Jan-24	10.90	10.61
17-Jan-24	12.60	10.39
30-Oct-23	16.30	12.00
03-Sep-23	18.90	13.93

Bilibili Inc. (ADR) (BILI)

Date of report	Target price ($)	Closing price ($)
19-May-26	28.90	20.00
09-Mar-26	32.30	26.16
18-Jan-26	34.20	32.48
16-Nov-25	30.80	26.18
29-Sep-25	30.00	27.33
25-Aug-25	26.30	23.25
25-May-25	23.60	18.94
20-Feb-25	23.70	22.11
19-Jan-25	22.00	17.47
17-Nov-24	23.00	18.30
25-Sep-24	22.60	18.27
10-Jul-24	16.50	16.96
23-May-24	14.80	13.74
21-Apr-24	13.80	10.91
07-Mar-24	13.50	10.60
29-Nov-23	15.60	11.86
11-Oct-23	17.40	14.65
17-Aug-23	19.60	15.35

Kuaishou Technology (1024.HK)

Date of report	Target price (HK$)	Closing price (HK$)
29-Jun-26	68.00	41.00

XD Inc. (2400.HK)

Date of report	Target price (HK$)	Closing price (HK$)
21-Apr-26	78.00	64.60

Kuaishou Technology (1024.HK)

Date of report	Target price (HK$)	Closing price (HK$)
27-May-26	70.00	45.28
14-May-26	74.00	50.85
25-Mar-26	75.00	53.05
18-Jan-26	87.00	78.35
31-Aug-25	83.00	75.35
21-Aug-25	77.00	71.75
17-Jun-25	68.00	59.40
27-May-25	63.00	48.75
25-Mar-25	62.00	56.80
19-Jan-25	55.00	40.75
20-Nov-24	63.00	52.55
20-Aug-24	67.00	44.40
08-Aug-24	70.00	43.85
22-May-24	80.00	58.15
20-Mar-24	75.00	52.25
21-Jan-24	82.00	41.55
21-Nov-23	88.00	58.50
19-Oct-23	87.00	56.10
22-Aug-23	91.00	62.50

XD Inc. (2400.HK)

Date of report	Target price (HK$)	Closing price (HK$)
18-Jan-26	85.40	86.00
29-Sep-25	81.40	78.30
08-Jul-25	39.00	51.30
14-May-25	34.00	37.05
25-Sep-24	15.00	19.68
10-Jul-24	13.80	17.28
12-Jun-24	15.10	18.22
16-Apr-24	13.20	14.96
17-Jan-24	11.60	8.16
10-Sep-23	21.10	16.52

NetEase Inc. (H) (9999.HK)

Date of report	Target price (HK$)	Closing price (HK$)
28-Jun-26	264.00	187.50
21-May-26	260.00	171.70
21-Apr-26	250.00	182.90
11-Feb-26	257.00	195.00
03-Feb-26	264.00	198.50
18-Jan-26	266.00	215.60
20-Nov-25	250.00	212.60
14-Sep-25	252.00	236.40
14-Aug-25	226.00	207.80
08-Jul-25	225.00	212.00
15-May-25	219.00	168.10
29-Apr-25	193.00	163.80
23-Feb-25	190.00	160.00
09-Jan-25	181.00	144.70
14-Nov-24	169.00	119.50
23-Oct-24	166.00	125.80
25-Sep-24	176.00	133.10
22-Aug-24	179.00	143.00
12-Jun-24	196.00	146.00
23-May-24	198.00	141.50
16-Apr-24	202.00	142.30
02-Feb-24	210.00	155.80
16-Nov-23	206.00	175.70
24-Aug-23	200.00	164.60

37 Interactive Entertainment (002555.SZ)

Date of report	Target price (Rmb)	Closing price (Rmb)
08-Jun-26	18.90	18.72
14-Feb-26	19.60	25.18
03-Nov-25	18.70	22.85
14-May-25	16.30	15.08
19-Jan-25	18.40	14.78
25-Sep-24	21.00	14.43
12-Jun-24	21.90	14.13
21-Apr-24	25.00	16.50
17-Jan-24	28.40	17.45
30-Oct-23	35.50	20.05
30-Aug-23	36.10	26.68

Price targets shown in table(s) are unadjusted for corporate actions.

Regulatory disclosures

Disclosures required by United States laws and regulations

See company-specific regulatory disclosures above for any of the following disclosures required as to companies referred to in this report: manager or co-manager in a pending transaction; 1% or other ownership; compensation for certain services; types of client relationships; managed/co-managed public offerings in prior periods; directorships; for equity securities, market making and/or specialist role. Goldman Sachs trades or may trade as a principal in debt securities (or in related derivatives) of issuers discussed in this report.

The following are additional required disclosures: **Ownership and material conflicts of interest:** Goldman Sachs policy prohibits its analysts, professionals reporting to analysts and members of their households from owning securities of any company in the analyst's area of coverage. **Analyst compensation:** Analysts are paid in part based on the profitability of Goldman Sachs, which includes investment banking revenues. **Analyst as officer or director:** Goldman Sachs policy generally prohibits its analysts, persons reporting to analysts or members of their households from serving as an officer, director or advisor of any company in the analyst's area of coverage. **Non-U.S. Analysts:** Non-U.S. analysts may not be associated persons of

Goldman Sachs & Co. LLC and therefore may not be subject to FINRA Rule 2241 or FINRA Rule 2242 restrictions on communications with a subject company, public appearances and trading in securities covered by the analysts.

Additional disclosures required under the laws and regulations of jurisdictions other than the United States

The following disclosures are those required by the jurisdiction indicated, except to the extent already made above pursuant to United States laws and regulations. **Australia:** Goldman Sachs Australia Pty Ltd and its affiliates are not authorised deposit-taking institutions (as that term is defined in the Banking Act 1959 (Cth)) in Australia and do not provide banking services, nor carry on a banking business, in Australia. This research, and any access to it, is intended only for “wholesale clients” within the meaning of the Australian Corporations Act, unless otherwise agreed by Goldman Sachs. In producing research reports, members of Global Investment Research of Goldman Sachs Australia may attend site visits and other meetings hosted by the companies and other entities which are the subject of its research reports. In some instances the costs of such site visits or meetings may be met in part or in whole by the issuers concerned if Goldman Sachs Australia considers it is appropriate and reasonable in the specific circumstances relating to the site visit or meeting. To the extent that the contents of this document contains any financial product advice, it is general advice only and has been prepared by Goldman Sachs without taking into account a client’s objectives, financial situation or needs. A client should, before acting on any such advice, consider the appropriateness of the advice having regard to the client’s own objectives, financial situation and needs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests and a copy of Goldman Sachs’ Australian Sell-Side Research Independence Policy Statement are available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Brazil:** Disclosure information in relation to CVM Resolution n. 20 is available at https://www.gs.com/worldwide/brazil/area/gir/index.html. Where applicable, the Brazil-registered analyst primarily responsible for the content of this research report, as defined in Article 20 of CVM Resolution n. 20, is the first author named at the beginning of this report, unless indicated otherwise at the end of the text. **Canada:** This information is being provided to you for information purposes only and is not, and under no circumstances should be construed as, an advertisement, offering or solicitation by Goldman Sachs & Co. LLC for purchasers of securities in Canada to trade in any Canadian security. Goldman Sachs & Co. LLC is not registered as a dealer in any jurisdiction in Canada under applicable Canadian securities laws and generally is not permitted to trade in Canadian securities and may be prohibited from selling certain securities and products in certain jurisdictions in Canada. If you wish to trade in any Canadian securities or other products in Canada please contact Goldman Sachs Canada Inc., an affiliate of The Goldman Sachs Group Inc., or another registered Canadian dealer. **Hong Kong:** Further information on the securities of covered companies referred to in this research may be obtained on request from Goldman Sachs (Asia) L.L.C. **India:** Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (India) Securities Private Limited, Research Analyst - SEBI Registration Number INH000001493, 10th Floor, Ascent-Worli, Sudam Kalu Ahire Marg, Worli, Mumbai-400 025, India, Corporate Identity Number U74140MH2006FTC160634, Phone +91 22 6616 9000, Fax +91 22 6616 9001. Goldman Sachs may beneficially own 1% or more of the securities (as such term is defined in clause 2 (h) the Indian Securities Contracts (Regulation) Act, 1956) of the subject company or companies referred to in this research report. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Goldman Sachs (India) Securities Private Limited compliance officer and investor grievance contact details, a copy of the annual compliance audit report and other relevant information and disclosures can be found at this link: https://www.goldmansachs.com/worldwide/india/research-analyst. **Japan:** See below. **Korea:** This research, and any access to it, is intended only for “professional investors” within the meaning of the Financial Services and Capital Markets Act, unless otherwise agreed by Goldman Sachs. Further information on the subject company or companies referred to in this research may be obtained from Goldman Sachs (Asia) L.L.C., Seoul Branch. **New Zealand:** Goldman Sachs New Zealand Limited and its affiliates are neither “registered banks” nor “deposit takers” (as defined in the Reserve Bank of New Zealand Act 1989) in New Zealand. This research, and any access to it, is intended for “wholesale clients” (as defined in the Financial Advisers Act 2008) unless otherwise agreed by Goldman Sachs. A copy of certain Goldman Sachs Australia and New Zealand disclosure of interests is available at: https://www.goldmansachs.com/disclosures/australia-new-zealand/index.html. **Russia:** Research reports distributed in the Russian Federation are not advertising as defined in the Russian legislation, but are information and analysis not having product promotion as their main purpose and do not provide appraisal within the meaning of the Russian legislation on appraisal activity. Research reports do not constitute a personalized investment recommendation as defined in Russian laws and regulations, are not addressed to a specific client, and are prepared without analyzing the financial circumstances, investment profiles or risk profiles of clients. Goldman Sachs assumes no responsibility for any investment decisions that may be taken by a client or any other person based on this research report. **Singapore:** Goldman Sachs (Singapore) Pte. (Company Number: 198602165W), which is regulated by the Monetary Authority of Singapore, accepts legal responsibility for this research, and should be contacted with respect to any matters arising from, or in connection with, this research. **Taiwan:** This material is for reference only and must not be reprinted without permission. Investors should carefully consider their own investment risk. Investment results are the responsibility of the individual investor. **United Kingdom:** Persons who would be categorized as retail clients in the United Kingdom, as such term is defined in the rules of the Financial Conduct Authority, should read this research in conjunction with prior Goldman Sachs research on the covered companies referred to herein and should refer to the risk warnings that have been sent to them by Goldman Sachs International. A copy of these risks warnings, and a glossary of certain financial terms used in this report, are available from Goldman Sachs International on request.

European Union and United Kingdom: Disclosure information in relation to Article 6 (2) of the European Commission Delegated Regulation (EU) (2016/958) supplementing Regulation (EU) No 596/2014 of the European Parliament and of the Council (including as that Delegated Regulation is implemented into United Kingdom domestic law and regulation following the United Kingdom’s departure from the European Union and the European Economic Area) with regard to regulatory technical standards for the technical arrangements for objective presentation of investment recommendations or other information recommending or suggesting an investment strategy and for disclosure of particular interests or indications of conflicts of interest is available at https://www.gs.com/disclosures/europeanpolicy.html which states the European Policy for Managing Conflicts of Interest in Connection with Investment Research.

Japan: Goldman Sachs Japan Co., Ltd. is a Financial Instrument Dealer registered with the Kanto Financial Bureau under registration number Kinsho 69, and a member of Japan Securities Dealers Association, Financial Futures Association of Japan Type II Financial Instruments Firms Association, and Investment Management Association of Japan. Sales and purchase of equities are subject to commission pre-determined with clients plus consumption tax. See company-specific disclosures as to any applicable disclosures required by Japanese stock exchanges, the Japanese Securities Dealers Association or the Japanese Securities Finance Company.

Ratings, coverage universe and related definitions

Buy (B), Neutral (N), Sell (S) Analysts recommend stocks as Buys or Sells for inclusion on various regional Investment Lists. Being assigned a Buy or Sell on an Investment List is determined by a stock’s total return potential relative to its coverage universe. Any stock not assigned as a Buy or a Sell on an Investment List with an active rating (i.e., a stock that is not Rating Suspended, Not Rated, Early-Stage Biotech, Coverage Suspended or Not Covered), is deemed Neutral. Each region manages Regional Conviction Lists, which are selected from Buy rated stocks on the respective region’s Investment Lists and represent investment recommendations focused on the size of the total return potential and/or the likelihood of the realization of the return across their respective areas of coverage. The addition or removal of stocks from such Conviction Lists are managed by the Investment Review Committee or other designated committee in each respective region and do not represent a change in the analysts’ investment rating for such stocks.

Total return potential represents the upside or downside differential between the current share price and the price target, including all paid or anticipated dividends, expected during the time horizon associated with the price target. Price targets are required for all covered stocks. The total return potential, price target and associated time horizon are stated in each report adding or reiterating an Investment List membership.

Coverage Universe: A list of all stocks in each coverage universe is available by primary analyst, stock and coverage universe at https://www.gs.com/research/hedge.html.

Not Rated (NR). The investment rating, target price and earnings estimates (where relevant) are removed pursuant to Goldman Sachs policy when Goldman Sachs is acting in an advisory capacity in a merger or in a strategic transaction involving this company, when there are legal, regulatory or policy constraints due to Goldman Sachs' involvement in a transaction, and in certain other circumstances. **Early-Stage Biotech (ES).** An investment rating and a target price are not assigned pursuant to Goldman Sachs policy when this company has neither a drug, treatment or medical device that has passed a Phase II clinical trial nor a license to distribute a post-Phase II drug, treatment or medical device. **Rating Suspended (RS).** Goldman Sachs Research has suspended the investment rating and price target for this stock, because there is not a sufficient fundamental basis for determining an investment rating or target price. The previous investment rating and target price, if any, are no longer in effect for this stock and should not be relied upon. **Coverage Suspended (CS).** Goldman Sachs has suspended coverage of this company. **Not Covered (NC).** Goldman Sachs does not cover this company.

Global product; distributing entities

Goldman Sachs Global Investment Research produces and distributes research products for clients of Goldman Sachs on a global basis. Analysts based in Goldman Sachs offices around the world produce research on industries and companies, and research on macroeconomics, currencies, commodities and portfolio strategy. This research is disseminated in Australia by Goldman Sachs Australia Pty Ltd (ABN 21 006 797 897); in Brazil by Goldman Sachs do Brasil Corretora de Títulos e Valores Mobiliários S.A.; Public Communication Channel Goldman Sachs Brazil: 0800 727 5764 and / or contatogoldmanbrasil@gs.com. Available Weekdays (except holidays), from 9am to 6pm. Canal de Comunicação com o Público Goldman Sachs Brasil: 0800 727 5764 e/ou contatogoldmanbrasil@gs.com. Horário de funcionamento: segunda-feira à sexta-feira (exceto feriados), das 9h às 18h; in Canada by Goldman Sachs & Co. LLC; in Hong Kong by Goldman Sachs (Asia) L.L.C.; in India by Goldman Sachs (India) Securities Private Ltd.; in Japan by Goldman Sachs Japan Co., Ltd.; in the Republic of Korea by Goldman Sachs (Asia) L.L.C., Seoul Branch; in New Zealand by Goldman Sachs New Zealand Limited; in Russia by OOO Goldman Sachs; in Singapore by Goldman Sachs (Singapore) Pte. (Company Number: 198602165W); and in the United States of America by Goldman Sachs & Co. LLC. Goldman Sachs International has approved this research in connection with its distribution in the United Kingdom.

Goldman Sachs International ("GSI"), authorised by the Prudential Regulation Authority ("PRA") and regulated by the Financial Conduct Authority ("FCA") and the PRA, has approved this research in connection with its distribution in the United Kingdom.

European Economic Area: Goldman Sachs Bank Europe SE ("GSBE") is a credit institution incorporated in Germany and, within the Single Supervisory Mechanism, subject to direct prudential supervision by the European Central Bank and in other respects supervised by German Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and Deutsche Bundesbank and disseminates research within the European Economic Area.

General disclosures

This research is for our clients only. Other than disclosures relating to Goldman Sachs, this research is based on current public information that we consider reliable, but we do not represent it is accurate or complete, and it should not be relied on as such. The information, opinions, estimates and forecasts contained herein are as of the date hereof and are subject to change without prior notification. We seek to update our research as appropriate, but various regulations may prevent us from doing so. Other than certain industry reports published on a periodic basis, the large majority of reports are published at irregular intervals as appropriate in the analyst's judgment.

Goldman Sachs conducts a global full-service, integrated investment banking, investment management, and brokerage business. We have investment banking and other business relationships with a substantial percentage of the companies covered by Global Investment Research. Goldman Sachs & Co. LLC, the United States broker dealer, is a member of SIPC (https://www.sipc.org).

Our salespeople, traders, and other professionals may provide oral or written market commentary or trading strategies to our clients and principal trading desks that reflect opinions that are contrary to the opinions expressed in this research. Our asset management area, principal trading desks and investing businesses may make investment decisions that are inconsistent with the recommendations or views expressed in this research.

The analysts named in this report may have from time to time discussed with our clients, including Goldman Sachs salespersons and traders, or may discuss in this report, trading strategies that reference catalysts or events that may have a near-term impact on the market price of the equity securities discussed in this report, which impact may be directionally counter to the analyst's published price target expectations for such stocks. Any such trading strategies are distinct from and do not affect the analyst's fundamental equity rating for such stocks, which rating reflects a stock's return potential relative to its coverage universe as described herein.

We and our affiliates, officers, directors, and employees will from time to time have long or short positions in, act as principal in, and buy or sell, the securities or derivatives, if any, referred to in this research, unless otherwise prohibited by regulation or Goldman Sachs policy.

The views attributed to third party presenters at Goldman Sachs arranged conferences, including individuals from other parts of Goldman Sachs, do not necessarily reflect those of Global Investment Research and are not an official view of Goldman Sachs.

Any third party referenced herein, including any salespeople, traders and other professionals or members of their household, may have positions in the products mentioned that are inconsistent with the views expressed by analysts named in this report.

This research is not an offer to sell or the solicitation of an offer to buy any security in any jurisdiction where such an offer or solicitation would be illegal. It does not constitute a personal recommendation or take into account the particular investment objectives, financial situations, or needs of individual clients. Clients should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The price and value of investments referred to in this research and the income from them may fluctuate. Past performance is not a guide to future performance, future returns are not guaranteed, and a loss of original capital may occur. Fluctuations in exchange rates could have adverse effects on the value or price of, or income derived from, certain investments.

Certain transactions, including those involving futures, options, and other derivatives, give rise to substantial risk and are not suitable for all investors. Investors should review current options and futures disclosure documents which are available from Goldman Sachs sales representatives or at https://www.theocc.com/about/publications/character-risks.jsp and https://www.goldmansachs.com/disclosures/cftc_fcm_disclosures. Transaction costs may be significant in option strategies calling for multiple purchase and sales of options such as spreads. Supporting documentation will be supplied upon request.

Differing Levels of Service provided by Global Investment Research: The level and types of services provided to you by Goldman Sachs Global Investment Research may vary as compared to that provided to internal and other external clients of GS, depending on various factors including your individual preferences as to the frequency and manner of receiving communication, your risk profile and investment focus and perspective (e.g., marketwide, sector specific, long term, short term), the size and scope of your overall client relationship with GS, and legal and regulatory constraints. As an example, certain clients may request to receive notifications when research on specific securities is published, and certain clients may request that specific data underlying analysts' fundamental analysis available on our internal client websites be delivered to them electronically through data feeds or otherwise. No change to an analyst's fundamental research views (e.g., ratings, price targets, or material changes to earnings estimates for equity securities), will be communicated to any client prior to inclusion of such information in a research report broadly disseminated through electronic publication to our internal client websites or through other means, as necessary, to all clients who are entitled to receive such reports.

All research reports are disseminated and available to all clients simultaneously through electronic publication to our internal client websites. Not all research content is redistributed to our clients or available to third-party aggregators, nor is Goldman Sachs responsible for the redistribution of our research by third party aggregators. For research, models or other data related to one or more securities, markets or asset classes (including related services) that may be available to you, please contact your GS representative or go to https://research.gs.com.

Disclosure information is also available at https://www.gs.com/research/hedge.html or from Research Compliance, 200 West Street, New York, NY 10282.